Final decision

Hunter-Central Coast REZ network infrastructure project (non-contestable)

(1 July 2026 to 30 June 2031)

November 2025

AUSTRALIAN ENERGY REGULATOR

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Note

This is the main document for the final decision on Ausgrid's 2026–31 non-contestable revenue determination for the Hunter-Central Coast (HCC) renewable energy zone network infrastructure project (Project). It should be read with all other parts of the final decision.

The final decision includes the following documents:

- **Final decision** (main document)
- Appendix A – Quarterly service payments
- Appendix B – Adjustment mechanisms
- Appendix C – Rate of return averaging periods – Confidential

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Overview

The Australian Energy Regulator (AER) is responsible for the economic regulation of electricity distribution and transmission systems in all states and territories except Western Australia. We exist to ensure energy consumers are better off, now and in the future. Consumers are at the heart of our work, and we focus on ensuring a secure, reliable, and affordable energy future for Australia as we transition to net zero emissions.

In 2021, the NSW Government appointed us to be the economic regulator of infrastructure projects under the *Electricity Infrastructure Investment Act 2020 (NSW)* (EII Act). The EII Act enables the NSW Electricity Infrastructure Roadmap (the Roadmap) which sets out a plan for the development of Renewable Energy Zones (REZ) in NSW that will allow multiple renewable generation and storage projects to be grouped into specific locations to achieve a number of NSW Government policy objectives.

Hunter Central Coast REZ network infrastructure project

The Hunter-Central Coast (HCC) REZ was declared by the NSW Minister for Energy under section 19(1) of the EII Act in December 2022. The HCC REZ network infrastructure project (HCC Project) will provide an additional one gigawatt of new network transfer capacity by 2028 to support renewable energy generation and storage within the HCC REZ region.

Ausgrid was selected by the Infrastructure Planner, Energy Corporation of NSW (EnergyCo), as the preferred Network Operator for the HCC Project in December 2024. Subsequently, in April 2025, AusEnergy Services Ltd (the Consumer Trustee – formerly known as AEMO Services Limited), authorised Ausgrid to carry out the HCC project.[1]

On 16 May 2025, we received a non-contestable revenue proposal from Ausgrid for the HCC Project for the regulatory control period 1 July 2026 to 30 June 2031 (2026–31 period). Ausgrid proposed total capital expenditure (capex) of $590.8 million ($2025–26) and revenue of $200.3 million ($ nominal). In early July 2025, Ausgrid submitted an updated revenue proposal with a revised total capex of $604.2 million ($2025–26) and revenue of $203.6 million ($ nominal) to correct an error in its proposal. We accepted Ausgrid's updated proposal as a one-off situation, on the basis Ausgrid had made a genuine error by omitting capex related overheads but had identified the issue at an early stage of the revenue determination process. This meant that stakeholders still had an ability to comment on the updated revenue proposal.

The HCC Project is the second non-contestable determination we have made. It follows our 2024–29 final decision for the Waratah Super Battery non-contestable project (WSB Project) made in December 2023.[2]

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1 EII Act s. 31(1)(b); *AEMO Services, Notice of Authorisation: Hunter-Central Coast (HCC) Renewable Energy Zone (REZ) Network Infrastructure Project*, April 2025.

2 For our determination on the WSB Project, see: https://www.aer.gov.au/industry/registers/determinations/waratah-super-battery-network-augmentation-and-sips-control-system.

Our role in making revenue determinations for NSW REZ network infrastructure projects

Our role as a regulator under the EII Act is to apply a transmission efficiency test (TET) and determine the amounts payable to Network Operators[3] authorised by the Consumer Trustee or authorised (or directed) by the NSW Minister for Energy to carry out network projects. We do not decide the size or timing of network infrastructure projects, as these responsibilities sits with the Consumer Trustee and the Infrastructure Planner.

A revenue determination made for a non-contestable process involves an assessment of the Network Operator's proposed costs and revenue to ensure only the prudent, efficient and reasonable costs of delivering the project are recovered from NSW electricity consumers. We do this assessment in accordance with the requirements set out in the EII Act, the *Electricity Infrastructure Investment Regulation 2021 (NSW)* (EII Regulation) and the process set out in our *Transmission Efficiency Test and revenue determination guideline for non-contestable network infrastructure projects* (Non-contestable Guideline).

Unlike revenue determinations made under the *National Electricity Rules* (NER), we only have 126 business days to make a non-contestable revenue determination under the EII Regulation.[4] In making our revenue determination for the HCC Project we have assessed Ausgrid's updated revenue proposal in accordance with these requirements.

Our final decision on Ausgrid's updated revenue proposal

Our final decision is that Ausgrid can recover $189.6 million ($ nominal) for the 2026–31 period. This is $14.0 million (6.9%) less than Ausgrid's updated revenue proposal. Our final decision accepts most elements of Ausgrid's proposal, namely:

- We have included an alternative capex estimate of $615.1 million[5] ($2025–26) ($284.5 million in pre-period capex and $330.6 million in forecast capex), which is $10.9 million higher than Ausgrid's proposal. The increase in capex reflects our decisions to amend the 'land acquisition and planning' adjustment mechanism, resulting in an increase to capex, and accept Ausgrid's updated forecast of 'enabling activities', for costs associated with connecting the HCC Project to the broader transmission network.
- We accept Ausgrid's proposed total operating expenditure (opex) of $16.9 million ($2025–26) as we found it to be prudent, efficient and reasonable. Our bottom-up assessment found that these activities are necessary, costs are reasonably estimated, and shared costs are estimated in line with Ausgrid's cost allocation methodology.

The decrease in total revenue in this final decision compared to Ausgrid's updated revenue proposal is mainly driven by:

- Updates to financial inputs for inflation and the rate of return which has (keeping all other inputs constant) decreased revenue by $6.2 million

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3 EII Act, ss. 38(1) and (4).

4 EII Regulation, cl. 50(1)(b).

5 Exclusive of equity raising costs.

- Change in treatment of depreciation for Infrastructure Planner Fees (IPFs) associated with Ausgrid's early works capex which has decreased revenue by $8.2 million.

Our final decision also accepts all but 3 of Ausgrid's proposed adjustment mechanisms, where we made amendments to the types of costs which can be recovered or the operation of the mechanism.

Our final decision accepts Ausgrid's proposal to modify the capital expenditure sharing scheme (CESS) to include pre-period expenditure but does not accept its proposal to exclude social licence expenditure. Our final decision also does not accept modification of the CESS sharing ratios for additional capex approved via the delayed capex forecast adjustment mechanism, which was proposed in Ausgrid's submission to our preliminary position paper.

Our determination commences on 1 July 2026 and is required to be remade every five years until the authorisation ceases to have effect, that is, on the expiry of the Project term of 25 years (and such additional time as may be required to allow for any end of Project term adjustments) or the contract is terminated.[6]

Our revenue determination reflects what we consider to be the prudent, efficient and reasonable costs of delivering the HCC Project, ensuring NSW consumers pay no more than necessary for safe and reliable electricity.[7]

The Scheme Financial Vehicle (SFV) is required to pay Ausgrid, as the Network Operator, the quarterly amounts set out in the schedule of payments on the dates confirmed in this determination.[8] The costs are funded from amounts recovered from the NSW electricity distributors through our annual contribution determination[9] and are passed on to NSW electricity consumers via their retail electricity bills.

6 EII Act, ss. 36, 38(1) and 40(1), EII Regulation, cl. 53A.

7 EII Regulation, cl. 52(2A).

8 EII Act, s. 39.

9 See: https://www.aer.gov.au/about/strategic-initiatives/renewable-energy-zones/contribution-determinations-nsw-rez

1 Background

1.1 Project context

On 9 December 2022, the NSW Minister for Energy declared the HCC REZ.[10] The HCC geographical area includes Upper Hunter, Muswellbrook, Singleton, Dungog, Cessnock, Maitland, Port Stephens, Newcastle, Lake Macquarie and the Central Coast.[11]

This HCC REZ declaration was amended on 2 December 2024 to extend the specified network infrastructure covered by the declaration to include network infrastructure outside the specified geographic area and connecting Somersby Zone Station and Berowra Zone Station.[12]

The HCC Project involves the construction and operation of network infrastructure to enable the connection of new renewable energy generation and storage projects in the HCC REZ. It will provide an additional 1 GW of network transfer capacity and will consist of three portions:

- Portion 1: Upper Hunter secondary systems modernisation (providing 350MW additional network capacity), scheduled for completion in late 2025.
- Portion 2: Muswellbrook network rearrangement, Singleton to Kurri 132kV link, and installation of a communications link across the Hawkesbury River (providing a cumulative total of 630 MW additional network capacity), scheduled for completion in June 2028.
- Portion 3: Construction of a new Antiene 132kV switching station and Antiene to Singleton 132kV link (providing a cumulative total of 1 GW of additional network capacity), scheduled for completion in July 2028.

1.2 Authorisation of the Project

EnergyCo is required to assess and make recommendations about REZ network infrastructure projects to the Consumer Trustee. In October 2024, EnergyCo recommended Ausgrid as the preferred Network Operator to the Consumer Trustee for the HCC Project. In December 2024, Ausgrid signed a Commitment Deed[13] with EnergyCo to deliver the HCC Project by mid-2028.

In December 2024, EnergyCo submitted an Infrastructure Planner Recommendation Report to the Consumer Trustee that recommended the Consumer Trustee authorise Ausgrid to carry out the HCC Project. On 17 April 2025, the Consumer Trustee, AusEnergy Services Limited authorised Ausgrid to develop, construct, own, control and operate the HCC Project

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10 NSW Minister for Energy, *Renewable Energy Zone (Hunter-Central Coast) Order 2022*, published in the NSW Government Gazette, Number 569–Electricity and Water, December 2022.

11 EnergyCo, *Media Release – Renewable Energy Zone declared in Hunter-Central Coast*, December 2022.

12 NSW Minister for Energy, *Renewable Energy Zone (Hunter-Central Coast) Order 2024*, published in the NSW Government Gazette, Number 569–Electricity and Water, December 2024.

13 The Commitment Deed sets out the terms on which: Ausgrid will provide technical services and comply with other obligations to EnergyCo in connection with the HCC project during its term; Ausgrid offers to carry out the HCC Project; EnergyCo will seek the Consumer Trustee authorisation; Ausgrid will seek the revenue determination and the parties will finalise and enter into the Project Deed. Ausgrid, *Hunter Central Coast RNIP 2026–31 – Attachment 2.3 – Commitment Deed – CONFIDENTIAL*, May 2025, pp. 21–22.

in accordance with the terms of the Notice of Authorisation and section 31(1)(b) of the EII Act. Ausgrid must comply with the Consumer Trustee's authorisation and has no discretion to vary any element.[14]

As required by section 31(2) of the EII Act, the Consumer Trustee also determined a maximum capital amount for the development and construction of the HCC Project which we have been notified of (section 2 discusses our application of the maximum capital amount).

1.2.1 Scope of the authorisation

Section 37(1) of the EII Act requires us, in exercising our functions, to take into account a number of principles, including that a Network Operator is entitled to recover the prudent, efficient and reasonable costs incurred by the Network Operator for carrying out the infrastructure project.

Clause 5 of the Consumer Trustee's authorisation for the HCC Project sets out the scope of the infrastructure works to be undertaken.[15] These are set out in Table 1.1 below.

Table 1.1 Scope of works identified in the Consumer Trustee's authorisation for the HCC Project

Reference in the Consumer Trustee's authorisation	Description of scope of works
Clause 5(a)	remote end secondary systems works to upgrade protection to duplicated differential line schemes on existing 132kV lines between Muswellbrook Bulk Supply Point, Muswellbrook Subtransmission Substation and Mitchell Line Subtransmission Substation
Clause 5(b)	a new 132 kV subtransmission switching station at Muswellbrook adjacent to the existing Muswellbrook Subtransmission Substation (referred to as Sandy Creek Subtransmission Switching Station)
Clause 5(c)	works to reroute lines 95F and 95H from the Muswellbrook Subtransmission Substation to the Sandy Creek Subtransmission Switching Station
Clause 5(d)	cut in works at the Sandy Creek Subtransmission Switching Station to reroute line 95M
Clause 5(e)	new 132 kV lines (referred to as lines 9PF and 9PG) to connect Muswellbrook Subtransmission Substation to the Sandy Creek Subtransmission Switching Station
Clause 5(f)	a new 132 kV line (referred to as line 95U(2)) to connect Sandy Creek Subtransmission Switching Station to the existing 95U line, with a tee near Muswellbrook Bulk Supply Point

[14] AEMO Services, *Notice of Authorisation: Hunter-Central Coast (HCC) Renewable Energy Zone (REZ) Network Infrastructure Project*, April 2025.

[15] This clause makes it clear the HCC Project does not include any Dedicated Connection Assets.

Reference in the Consumer Trustee's authorisation	Description of scope of works
Clause 5(g)	a new dual circuit 132kV subtransmission line between the Antiene Subtransmission Switching Station and Kurri Subtransmission Substation
Clause 5(h)	augmentations to the Kurri Subtransmission Substation
Clause 5(i)	a new communications link from Somersby Zone Substation to Berowra Zone Substation using an optical fibre ground wire (OPGW) on Feeder 95Z
Clause 5(j)	a new 132 kV subtransmission switching station along the north-eastern bank of Lake Liddell (referred to as Antiene Subtransmission Switching Station)
Clause 5(k)	augmentations to the Rothbury Zone Substation
Clause 5(l)	all ancillary plant, equipment or other assets that will be connected to or used by the Network Operator for the purposes of controlling and operating the authorised network infrastructure
Clause 5(m)	any change, modification or addition to the authorised network infrastructure: (1) required for the Network Operator to comply with its obligations under the National Electricity (NSW) Law or otherwise at law; or (2) made in accordance with the Project Deed, provided that following the relevant change, modification or addition the authorised HCC REZ Network Infrastructure Project will remain consistent with the description in sections 5(a) to 5(l) of this instrument.

Source: AEMO Services, *Notice of Authorisation: Hunter-Central Coast (HCC) Renewable Energy Zone (REZ) Network Infrastructure Project*, April 2025.

Ausgrid's revenue proposal sets out how it has complied with the Consumer Trustee's authorisation.[16] Further details around the proposed costs associated with Ausgrid undertaking the above scope of works are set out in section 5.4 of the revenue proposal.[17] We consider that Ausgrid's revenue proposal is consistent with the Consumer Trustee's authorisation and does not comprise any proposed works that would be regarded as falling outside the scope of the authorisation.

16 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, pp. 14–16.

17 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025. pp. 44–53.

2 Revenue determination process

We are a regulator under the EII Act. One of our functions is to determine the amount payable to a Network Operator for carrying out a network infrastructure project.[18] There are two ways a Network Operator may be selected to undertake a network infrastructure project.

1. Under a contestable process, a Network Operator is selected following a competitive assessment procurement process conducted by the Infrastructure Planner.
2. Under a non-contestable process, a Network Operator may be selected directly by the Infrastructure Planner.

Our revenue determination for the HCC Project is made under the non-contestable process. A revenue determination made for a non-contestable process involves us assessing the Network Operator's forecast costs to ensure the prudent, efficient, and reasonable costs of delivering the project are recovered.[19] Prior to making a revenue determination, we must also ensure under section 38(6) of the EII Act that the prudent, efficient and reasonable capital costs for development and construction of a REZ network infrastructure project does not exceed the maximum amount, if any, notified to us by the Consumer Trustee under section 31(2).[20] This maximum amount is confidential.[21]

In making our first revenue determination for the HCC Project we have followed the process set out in our Non-contestable Guideline and included in our decision those matters set out in the EII Act, the EII Regulation and our Non-contestable Guideline.[22] The components of our decision in section 14 of this final decision sets out how we have addressed the requirements of the EII Act, EII Regulation and the EII Chapter 6A in making our final decision.

Our Non-contestable Guideline sets out the process we are required to follow when making a non-contestable revenue determination under the EII Act.[23] This process substantially reflects the process that applies to transmission network service providers under Chapter 6A of the NER.[24]

In accordance with sections 38(4) and (6) of the EII Act, the amount we have calculated as the prudent, efficient and reasonable capital costs for the development and construction of the HCC Project is lower than the confidential maximum amount (maximum capital cost) notified to the AER by the Consumer Trustee.

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18 EII Act, s. 38.

19 EII Act, s. 37(1)(a).

20 The maximum amount does not apply to the review or remaking of a revenue determination (s.40(3) of the EII Act). Nor does it apply to capital costs determined under the transmission efficiency test when adjusted from time to time – see s.38(6A) of the EII Act.

21 EII Act, s. 31(3).

22 AER, *Transmission Efficiency Test and revenue determination guideline for non-contestable network infrastructure projects*, July 2024. We are currently conducting a targeted review of the Non-contestable Guideline which is due to be finalised by the end of 2025. Further details can be found on the AER's website https://www.aer.gov.au/industry/registers/resources/reviews/2025-review-revenue-determination-guideline-nsw-non-contestable-projects.

23 EII Regulation, cl. 47A.

24 Under cl. 47A(3) of the EII Regulation, the regulator must ensure that the non-contestable guideline is as far as is reasonably practicable consistent with NER Chapter 6A, as that Chapter applies to the AER in making a transmission determination.

2.1 Revenue proposal and updated revenue proposal

On 16 May 2025, Ausgrid submitted its non-contestable revenue proposal for the HCC Project for the regulatory control period commencing 1 July 2026 and ending 30 June 2031 (2026–31). The revenue proposal package included Ausgrid's response to our regulatory information notice, various models, and other supporting information. Ausgrid proposed total capital expenditure (capex) of $590.8 million ($2025–26), total operating expenditure (opex) of $16.9 million ($2025–26) and total revenue of $200.3 million ($ nominal) over the 2026–31 period.[25]

On 4 July 2025, Ausgrid submitted an updated revenue proposal with a revised forecast total capex of $604.2 million ($2025–26) and proposed revenue of $203.6 million ($ nominal).[26] This update included capex overheads which were allocated in accordance with Ausgrid's cost allocation methodology (CAM) but erroneously omitted from its revenue proposal submitted on 16 May 2025. The table below illustrates the changes in building block revenue between the initial and updated proposals.

Table 2.1 Ausgrid's HCC Project revenue proposals – Building block revenue for the 2026–31 regulatory control period ($million, nominal)

Building block	Revenue proposal (16 May 2025)	Updated revenue proposal (4 July 2025)
Return on capital	$182.5	$184.2
Regulatory depreciation	–$1.9	–$0.1
Operating expenditure	$18.6	$18.6
Revenue adjustments	-	-
Cost of corporate income tax	$1.0	$1.0
Maximum allowed revenue	$200.3	$203.6

Source: Ausgrid, *Hunter Central Coast RNIP 2026–31 – Attachment 6.1: PTRM*, May 2025; Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025.

While normally we would not consider revenue proposal updates, we were satisfied that in this specific circumstance:

- the issue was identified by Ausgrid sufficiently early in the process, meaning that stakeholders had an opportunity to comment on the updated revenue proposal
- this was a genuine error made by Ausgrid, noting it made the correct CAM allocation for its opex proposal.

25 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Attachment 6.1: PTRM*, May 2025.

26 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated Revenue proposal – Letter,* July 2025*;* Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025. The opex amount did not vary between the initial and updated revenue proposal.

Therefore, we allowed Ausgrid to resubmit its revenue proposal as a one-off situation. Our Non-contestable Guideline does not expressly make provision for resubmission in these circumstances as part of the revenue determination process and it is the responsibility of Network Operators to ensure the accuracy of any submitted revenue proposals.

For the remainder of this decision document, when referring to Ausgrid's revenue proposal, we will be referring to the updated revenue proposal which was submitted in July 2025.

2.2 Preliminary position paper

In our 2024 review of the Non-contestable Guideline, we removed the requirement for us to make a draft decision as well as the requirement for the Network Operator to submit a revised proposal. Instead, we replaced the draft decision with a preliminary position paper that is to be published approximately 55 business days after receiving a compliant revenue proposal. The preliminary position paper is designed to focus on identifying and discussing key issues arising from a Network Operator's revenue proposal.

On 7 August 2025, we published a preliminary position paper for the HCC Project[27] and sought submissions by 10 September 2025.[28] In our preliminary position paper, we focused on Ausgrid's proposed adjustment mechanisms related to 'procurement induced cost uncertainty events' as we considered this component represented a significant point of difference between Ausgrid's revenue proposal and our preliminary position.[29] However, our ability to discuss our position for these adjustment mechanisms was restricted at the time due to Ausgrid's non-disclosure claims on the names and definition of most of these events. In summary, our other preliminary positions were that we were likely to:

- change the depreciation treatment of IPFs associated with Ausgrid's early works capex to align with the economic life of these assets rather than the Project term.
- accept Ausgrid's proposal to modify the CESS to include pre-period expenditure but not accept Ausgrid's proposed modification to the CESS to exclude social licence expenditure.
- accept Ausgrid's proposed capex if it is found prudent, efficient, and reasonable, including further review of its proposed social licence expenditure. We also indicated that we would update capex for 'enabling activities', where new information indicated this cost was likely to increase.
- make a decision on applying efficiency benefit sharing scheme (EBSS) at the end of the 2026–31 period.
- accept Ausgrid's approach to calculating total revenue, schedule of payments, regulatory asset base, rate of return, regulatory depreciation, and opex.

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27 The HCC Project is the first non-contestable revenue determination process we have undertaken since the 2024 review of the Non-contestable Guideline, so this was the first preliminary position paper we have published under the EII framework. AER, *Preliminary position paper – Ausgrid – Hunter-Central Coast REZ non-contestable project 2026–31*, August 2025.

28 Under our Non-contestable Guideline there is a consultation period of minimum 20 business days on our preliminary position paper. See AER, *Final guideline – Transmission Efficiency Test and revenue determination guideline for non-contestable network infrastructure projects*, July 2024, p. 21.

29 EII Act, s. 37(1)(d).

On 21 August 2025, following our assessment of the merits of non-disclosure claims made by Ausgrid over the adjustment mechanisms, we published a supplementary appendix to the preliminary position paper.[30] The supplementary appendix considered Ausgrid's non-disclosure claims with respect to its proposed adjustment mechanisms and our assessment of these claims. We found that most of the material relating to the proposed adjustment mechanisms was not confidential or commercially sensitive, and so we published further information about the adjustment mechanisms in the supplementary appendix.

2.2.1 Ausgrid submission on the preliminary position paper

On 10 September 2025, Ausgrid made a submission on our preliminary position paper.[31] Ausgrid's submission stated that it accepted our preliminary positions on most aspects of its revenue proposal. However, Ausgrid did not support the application of caps to a number of its proposed adjustment mechanisms ('Land acquisition and planning costs', 'Unavoidable change in contractor costs' and 'Unavoidable design change'). Ausgrid's submission also provided detail of its suggested design for the delayed capex forecast adjustment mechanism, which would apply to costs associated with the 'Unavoidable change in contractor costs' and 'Unavoidable design change' adjustment mechanisms. Ausgrid also submitted that for any additional capex approved via the delayed capex forecast, the CESS sharing ratios for that capex should be modified.

2.2.2 AER consultation requirements under the EII Framework

Under the EII Regulation, clauses 49(1) and 49(1A), we are required to consult with the Infrastructure Planner (EnergyCo) and the Consumer Trustee (AusEnergy Services Limited) before making our revenue determination. We invited submissions from both on our preliminary position paper for the HCC Project. We received one submission from EnergyCo, which supported our preliminary positions. The Consumer Trustee separately communicated to us via email that it had no comments on our preliminary position paper.

30 AER, *Preliminary position paper – Supplementary Appendix – Ausgrid – Hunter-Central Coast REZ non-contestable project 2026–31*, August 2025.

31 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025.

3 Our Final Decision

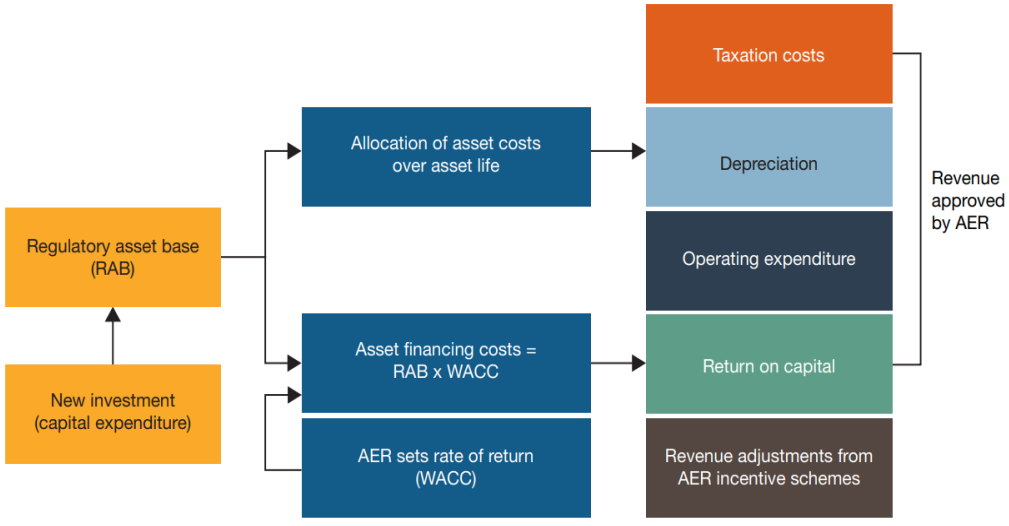
3.1 Key components of our final decision

The foundation of our regulatory approach is a benchmark incentive framework to setting maximum revenues: once regulated revenues are set for the 5-year period, a network that keeps its actual costs below the regulatory forecast of costs retains part of the benefit. This provides an incentive for service providers to become more efficient over time.[32] It delivers benefits to consumers as efficient costs are revealed over time and drives lower cost benchmarks in subsequent regulatory control periods. By only allowing efficient costs in our approved revenues, we ensure consumers pay no more than necessary for the safe and reliable delivery of electricity.

Our assessment of total revenues under the EII Act, is based on a 'building block' approach which looks at the following five cost components (see Figure 3.1):

1. return on the Regulatory Asset Base (RAB) – or return on capital, to compensate investors for the opportunity cost of funds invested in this business.
2. depreciation of the RAB – or return of capital, to return the initial investment to investors over time.
3. forecast opex – the operating, maintenance, and other non-capital expenses, incurred in the provision of network services.
4. revenue increments/decrements – resulting from the application of incentive schemes in previous periods. As this is the first determination for the HCC Project, there are no revenue increments nor decrements.
5. estimated cost of corporate income tax.

Figure 3.1 The building block model to forecast network revenue



Source: AER.

[32] This is consistent with the principles set out in the EII Act, s. 37(1)(b) and EII Regulation, cl. 46(1)(a)(i).

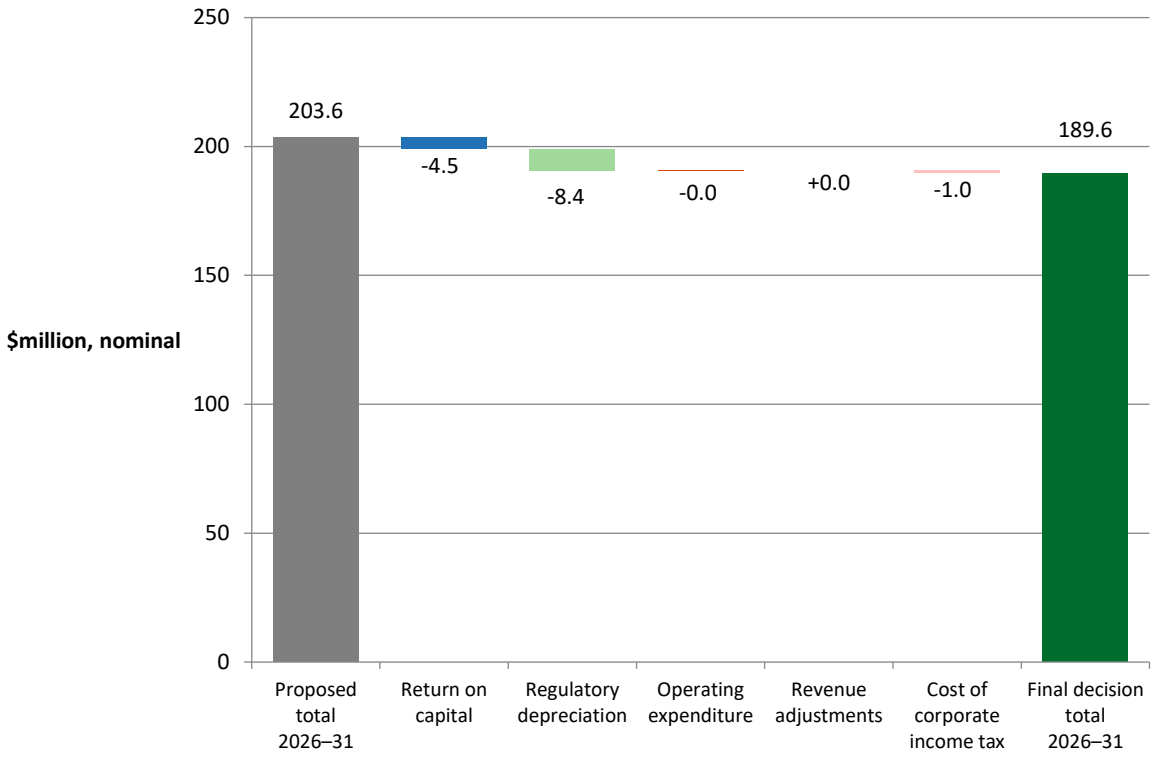
3.2 Key differences between our final decision and Ausgrid's proposal

When looking at the 2026–31 period, the key differences between our final decision and Ausgrid's updated proposal for the HCC project relate to our:

- lower return on capital, driven by a lower forecast rate of return of 6.53% compared to Ausgrid's proposed forecast rate of return of 6.80% (section 7).
- lower return of capital (depreciation), driven primarily by lower straight-line depreciation compared to Ausgrid's proposal due to the change in depreciation treatment of IPFs associated with Ausgrid's early works capex (section 8.2).
- higher capex forecast, due to our decision to amend one of the proposed adjustment mechanisms and accept updated information provided by Ausgrid (section 9).
- lower estimated cost of corporate income tax, driven by higher tax expenses (section 11).

Figure 3.2 below compares the building blocks associated with Ausgrid's proposal to our final decision.

Figure 3.2 Comparison of building blocks between proposal and final decision ($million, nominal)



Source: AER analysis; Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025.

4 Stakeholder engagement on the HCC Project

Consumer engagement during the non-contestable regulatory process is an important way to provide us with supporting evidence that proposals have been aligned with consumer interests and expectations. We provide guidance on our expectations for consumer engagement to network businesses in our non-contestable guideline.[33]

It is the responsibility of network operators to ensure that consumer views are considered and represented in their revenue proposal. Often consensus is not possible, in which case the views of the differing groups and how the network sought to make its decision should be reflected in its proposal. Our role is to consider the consumer engagement process and the stakeholder submissions when making our decisions.

4.1 Ausgrid's consumer engagement

Ausgrid established its HCC REZ Reg Panel (referred to as 'Ausgrid's customer panel' in this document) in December 2024 to consult on the development of its revenue proposal. Ausgrid's customer panel comprised three members selected from its ongoing regulatory panels who represented residential, business and commercial customers. This panel met six times between January and April 2025 in the lead up to the submission of the revenue proposal. Ausgrid's customer panel and AER's Consumer Challenge Panel, sub-panel 35 (CCP35) also had the opportunity to observe community and landholder engagement and conduct site visits to key locations.[34]

Ausgrid's customer panel was set up to review and provide feedback on elements of its revenue proposal, such as risk allocation and the building block revenue components. Its establishment reflected Ausgrid's commitment to include consumer perspectives in its revenue proposal, in line with our Better Resets Handbook.[35] In addition, Panel members observed a sample of Ausgrid's engagement with affected community members and landholders. CCP35's role was to provide us feedback on how effective Ausgrid's consumer engagement activities were and how the proposal was influenced by its engagement.

In line with our preliminary position paper, we maintain the view that Ausgrid's stakeholder engagement was effective throughout the revenue determination process. This view is informed by our observations as well as CCP35's advice to the AER, which found that Ausgrid demonstrated sincere intent with commitment to effective engagement.[36] Ausgrid provided timely and detailed information to its panel members and responded to strong challenges from the customer panel by scheduling additional meetings with deep dives on issues of interest. This included Ausgrid facilitating meetings between the panel and EnergyCo/Consumer Trustee to answer queries from the panel on topics such as the project scope, benefits and

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33 AER, *Transmission Efficiency Test and revenue determination guideline for non-contestable network infrastructure projects*, July 2024, pp. 15–16.

34 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Revenue proposal*, May 2025, p. 17.

35 AER, *Better Resets Handbook*, July 2024.

36 CCP35, *Submission – Hunter Central Coast RNIP – 2026–31 Revenue Proposal*, June 2025, p. 5.

authorisation. The customer panel itself considered Ausgrid's engagement to be industry leading and that Ausgrid's approach should set a precedent for future EII projects.[37]

Ausgrid's customer panel noted that following the publication of the preliminary position paper, Ausgrid continued to engage with them on key issue of adjustment mechanisms in a constructive and open manner.[38]

4.2 Stakeholder submissions

We received two submissions in response to Ausgrid's revenue proposal and five submissions in response to our preliminary position paper.

Table 4.1 Submissions on Ausgrid's proposal and our preliminary position paper

Submission on Ausgrid's proposal[39]	Submission on our preliminary position paper[40]
Ausgrid's customer panel	Ausgrid's customer panel
CCP35	CCP35
n/a	Justice and Equity Centre
n/a	Ausgrid
n/a	EnergyCo

The submissions on the revenue proposal raised issues with:

- the (lack of) transparency, nature and number of the proposed adjustment mechanisms
- the justification for the proposed community and social licence expenditure
- the proposed exclusion of social licence allowance from the CESS.

These submissions also sought additional comments from us on the recent legislative changes to the maximum capital cost, the transparency of the IPFs, and the AER's approach to assessing reasonableness of capex. We addressed these submissions in our preliminary position paper.[41]

The submissions on the preliminary position paper were generally supportive of our preliminary positions and our efforts to increase transparency of Ausgrid's revenue proposal, specifically in relation to adjustment mechanisms proposed by Ausgrid. Stakeholder submissions also mostly supported adoption of a delayed capex forecast for the 'unavoidable

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37 Ausgrid Customer Panel, *Submission – Hunter Central Coast RNIP – 2026–31 Revenue Proposal*, May 2025, p. 2.

38 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 2.

39 Stakeholders had 15 business days to provide submissions on the revenue proposal between 23 May 2025 and 16 June 2025.

40 Stakeholders had 24 business days from 7 August 2025 to 10 September 2025 to provide submissions. This was extended from the initial time frame of 20 business days, given the supplementary appendix was published after the preliminary position paper, on 21 August 2025.

41 AER, *Preliminary position paper – Ausgrid – Hunter-Central Coast REZ non-contestable project 2026–31*, August 2025, pp. 19–24.

change in contractor costs' and 'unavoidable design change' adjustment events. However, stakeholders raised the following issues related to the HCC Project revenue determination:

- Stakeholders sought more transparency regarding the activities and cost categories covered under IPFs.[42] We discuss IPFs in the section 9.2.10 of our final decision.
- Stakeholders raised concern that there was insufficient information or no clear social licence risks that would justify the need for social licence expenditure proposed by Ausgrid.[43] We discuss our acceptance of Ausgrid's proposed social licence expenditure in the section 9.2.7 of our final decision.
- Stakeholders supported our preliminary position to apply the CESS to capex related to social licence activities, in order to incentivise Ausgrid to deliver the social acceptance of the project as efficiently as possible.[44] We discuss our position on incentive schemes in section 12 of our final decision.
- Stakeholders made suggestions and sought further clarification from us on Ausgrid's adjustment mechanisms. These included stakeholders:
  - seeking evidence regarding consumer engagement, mitigations undertaken to minimise forecast costs, and independent verification regarding the accuracy of forecast costs when an adjustment is triggered.[45]
  - seeking further clarity on our role in reviewing 'EnergyCo Contractual Compliance Events – Actions by the Infrastructure Planner' adjustment mechanism proposed by Ausgrid.[46]
  - recommending us to consider materiality thresholds for the triggering of adjustment mechanism events and review and remake of our determinations.[47]

Our final decision on adjustment mechanisms is discussed in section 13 and Appendix B.

We have considered stakeholder feedback in coming to our final decision and our consideration of stakeholder feedback on these issues is reflected in the relevant sections of this final decision. We appreciate stakeholder submissions on Ausgrid's proposal and our preliminary position paper. The representation of all stakeholder perspectives is critical to supporting a transparent and balanced approach to our decision-making process.

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42 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 4.

43 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 3; CCP35, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 9.

44 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 3.

45 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 9.

46 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 6.

47 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 11; Justice and Equity Centre, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 4.

5 Total revenue and schedule of payments

This section sets out our final decision on the total revenue to be recovered by Ausgrid for the HCC Project over the 2026–31 regulatory control period.

We determine Ausgrid's annual building block revenue requirement using a building block approach.[48] The schedule of payments[49] is derived from the annual building block revenue requirement, on a quarterly basis, in accordance with the EII Regulation and our non-contestable guideline.[50] Our final decision determines the total revenues Ausgrid is entitled to for the ongoing ownership, control and operation of the HCC Project, commensurate with the regulatory and commercial risks.[51]

Our approach to calculating the total revenue and schedule of payments is detailed in section 2 of our guidance note on AER's EII assessment approach for non-contestable revenue determinations (assessment approach guidance note).[52]

5.1 Ausgrid's proposal

Ausgrid's updated proposal included a total revenue of $203.6 million ($ nominal) for the 2026–31 period.[53] Ausgrid used the EII post-tax revenue model (PTRM), which is the NER PTRM modified for EII non-contestable determinations,[54] in calculating its total revenue.

Table 5.1 sets out Ausgrid's total revenue cap for the HCC Project as included in its updated revenue proposal and Table 5.2 sets out its proposed quarterly schedule of payments and the dates on which each payment is to be made by the SFV to Ausgrid.

48 EII Chapter 6A, cll. 6A.4.2(a)(1)–(2) and 6A.14.1(1)(i)–(ii).

49 EII Regulation, cll. 52(1)–(2).

50 EII Regulation, cl. 52; AER, *Final guideline – Transmission Efficiency Test and revenue determination guideline for non-contestable network infrastructure projects*, July 2024, p. 18.

51 EII Act, s. 37(1)(c).

52 AER, *Guidance note on AER's EII assessment approach for non-contestable revenue determinations*, September 2025, pp. 3–5.

53 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025.

54 AER, *Guidance note – Amendments to NER PTRM for determinations under the Electricity Infrastructure Investment Act and Regulations*, November 2024; AER, *Non-contestable – EII Sample PTRM template*, November 2024.

Table 5.1 Ausgrid's updated proposal – Annual building block revenue requirement and estimated total revenue cap ($million, nominal)

	2026–27	2027–28	2028–29	2029–30	2030–31	Total
Return on capital	19.8	36.7	42.0	42.8	42.9	184.2
Regulatory depreciation[a]	2.0	–4.2	–2.3	1.8	2.6	–0.1
Operating expenditure[b]	0.3	2.6	4.3	5.5	5.9	18.6
Revenue adjustments	-	-	-	-	-	-
Net tax allowance	0.3	0.6	0.1	-	-	1.0
Annual building block revenue requirement	**22.4**	**35.6**	**44.1**	**50.1**	**51.4**	**203.6[c]**

Source: Ausgrid, *Hunter Central Coast RNIP 2026-31 – Updated PTRM*, July 2025.

a) Regulatory depreciation is straight-line depreciation net of the inflation indexation on the opening RAB.

b) Includes debt raising costs.

c) The estimated total revenue cap is equal to the total annual building block revenue requirement.

Table 5.2 Ausgrid's updated proposal – Schedule of payments and payment dates ($ nominal)

	Quarter 1 (30 September)	Quarter 2 (31 December)	Quarter 3 (31 March)	Quarter 4 (30 June)	Total
2026–27	5,331,917	5,420,311	5,510,170	5,601,518	**21,863,915**
2027–28	8,475,655	8,616,166	8,759,006	8,904,215	**34,755,042**
2028–29	10,487,345	10,661,206	10,837,950	11,017,623	**43,004,124**
2029–30	11,926,417	12,124,136	12,325,132	12,529,461	**48,905,145**
2030–31	12,222,980	12,425,615	12,631,610	12,841,019	**50,121,224**

Source: Ausgrid, *Hunter Central Coast RNIP 2026-31 – Attachment 9.2 RIN workbook 1*, May 2025; Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025.

5.2 AER final decision

5.2.1 Total amount and components

We determine a total revenue of $189.6 million ($ nominal) for Ausgrid for the 2026–31 period (Table 5.3). This is a decrease of $14.0 million (–6.9%) to Ausgrid's updated proposed total revenue of $203.6 million ($ nominal) for this period. This decrease reflects the net impact of our final decision on the various building block costs.

Table 5.3 AER's final decision on Ausgrid's annual building block revenue requirement and estimated total revenue cap ($million, nominal)

	2026–27	2027–28	2028–29	2029–30	2030–31	Total
Return on capital	18.9	35.7	41.0	41.9	42.1	179.7
Regulatory depreciation[a]	0.2	–6.1	–4.2	0.4	1.1	–8.6
Operating expenditure[b]	0.3	2.6	4.3	5.5	5.9	18.5
Revenue adjustments	-	-	-	-	-	-
Net tax allowance	-	-	-	-	-	-
Annual building block revenue requirement	**19.4**	**32.1**	**41.0**	**47.9**	**49.1**	**189.6[c]**

Source: AER analysis.

a) Regulatory depreciation is straight-line depreciation net of the inflation indexation on the opening RAB.

b) Includes debt raising costs.

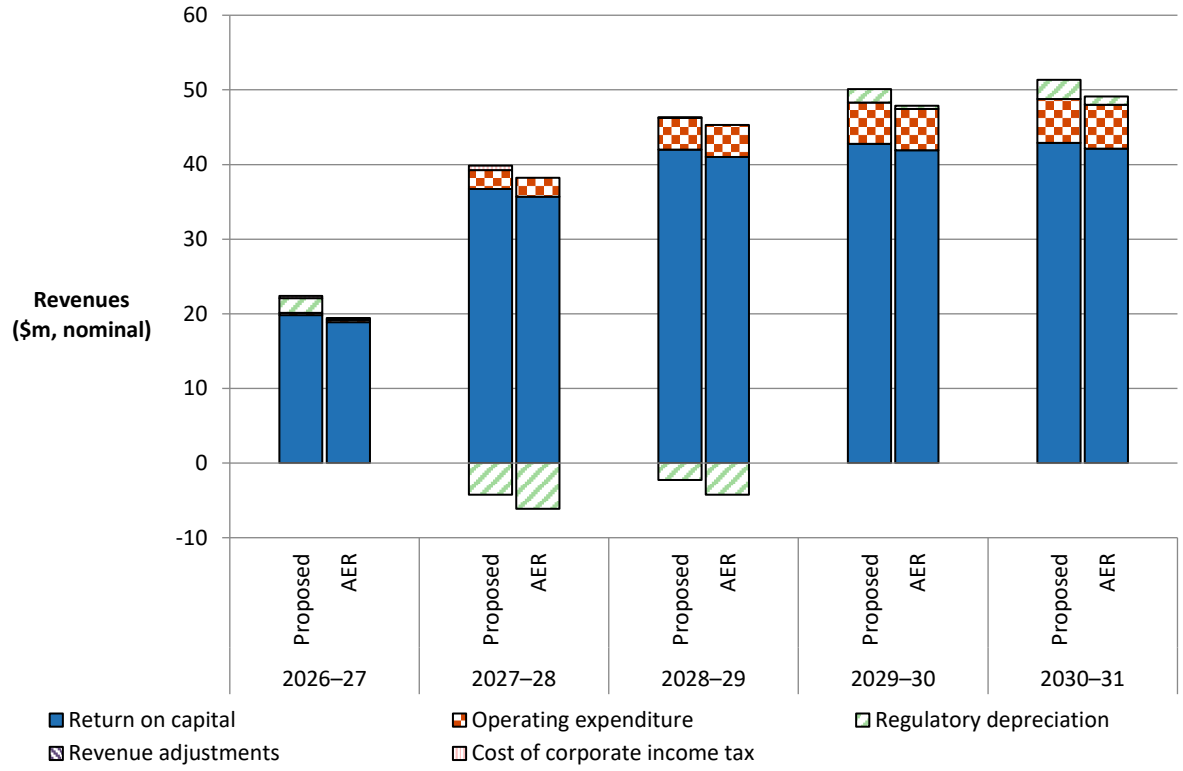
c) The estimated total revenue cap is equal to the total annual building block revenue requirement.

Figure 5.1 compares the building block components from our determination that make up the annual building block revenue requirement with those from Ausgrid's updated proposal.

The changes we made to Ausgrid's updated proposed building blocks include (in nominal dollar terms):

- a decrease in the return on capital of $4.5 million (–2.4%) (Sections 6, 7, 8, 9)
- a decrease of $8.4 million in the regulatory depreciation (Section 8)
- a decrease of $1.0 million to zero in the cost of corporate income tax (Section 11)

Figure 5.1 AER's final decision and Ausgrid's updated proposed annual building block revenue requirement ($million, nominal)



Source: AER analysis; Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025.

Note: There are zero allowances for the cost of corporate income tax and revenue adjustments for the HCC Project for the 2026–31 period. Opex includes debt raising costs.

The primary driver of the overall decrease is the reduction in the regulatory depreciation allowance (section 8), because of our final decision to not accept Ausgrid's approach to depreciating IPFs associated with Ausgrid's early works capex. This building block is responsible for a $8.4 million reduction (or 60.4% of the overall $14.0 million decrease).

5.2.2 Schedule of payments and payment dates

Our final decision is to determine a quarterly schedule of payments totalling $185.2 million ($ nominal) over the 5 years of the 2026–31 period. This is $13.5 million (6.8%) lower than Ausgrid's updated proposal of $198.6 million. The difference reflects our decision on the various components that make up the annual building block revenue requirement, as discussed in section 5.2.1 above.

We accept Ausgrid's approach to calculating the schedule of payments. The approved schedule of payments must be consistent with the EII Regulation[55] as well as what is set out in our non-contestable Guideline. Ausgrid has used the EII PTRM to calculate the schedule of payments. We also accept Ausgrid's proposed dates[56] on which the quarterly schedule of

[55] EII Regulation, cl. 52(2)

[56] Ausgrid, *Hunter Central Coast RNIP 2026–31 – Attachment 9.2 RIN workbook 1*, May 2025.

payments are to be paid, as they align with the payment calculations in the EII PTRM (that is, end of quarter payments).

Table 5.4 sets out our final decision on the schedule of payments and the timing of each quarterly payment for the HCC project.

Table 5.4 AER's final decision schedule of payments and timing ($ nominal)

	Quarter 1 (30 September)	Quarter 2 (31 December)	Quarter 3 (31 March)	Quarter 4 (30 June)	Total
2026–27	4,630,940	4,704,781	4,779,800	4,856,014	**18,971,535**
2027–28	7,659,760	7,781,896	7,905,979	8,032,042	**31,379,677**
2028–29	9,785,896	9,941,934	10,100,459	10,261,513	**40,089,802**
2029–30	11,415,547	11,597,570	11,782,495	11,970,369	**46,765,981**
2030–31	11,713,318	11,900,089	12,089,838	12,282,613	**47,985,858**

Source: AER analysis.

6 Regulated Asset Base

The regulatory asset base (RAB) is the value of the assets used by Ausgrid to provide regulated network services.[57] Our revenue determination specifies the RAB as at the commencement of the regulatory control period and the appropriate method for the indexation of the RAB.[58] The indexation of the RAB is one of the building blocks that form the annual building block revenue requirement for each year of the 2026–31 regulatory control period.[59] We set the RAB as the foundation for determining a Network Operator's revenue requirements and use the opening RAB for each regulatory year to determine the return on capital and return of capital (regulatory depreciation) building blocks.[60]

This section presents our final decision on the opening RAB value as at 1 July 2026 for Ausgrid and our forecast of its RAB values over the 2026–31 period. It also presents our final decision for establishing the RAB as at the commencement of the 2031–36 period using depreciation that is based on forecast capex.[61]

Our assessment approach for the RAB is detailed in section 3 of our assessment approach guidance note.[62]

6.1 Ausgrid's proposal

Ausgrid has proposed an opening RAB of $291.3 million as at 1 July 2026 ($ nominal). Ausgrid is not required to use the AER's roll forward model to determine an opening RAB for this revenue determination as this expenditure occurred prior to the first regulatory control period (2026–31).

Ausgrid's proposed opening RAB is the pre-period capex of $283.0 million ($2025–26) incurred in 2025–26, which is prior to the start of the 2026–31 period, adjusted for financing costs of $8.3 million. This totals $291.3 million, which represents Ausgrid's proposed opening RAB value as at 1 July 2026.

Ausgrid proposed a forecast closing RAB as at 30 June 2031 of $632.1 million ($ nominal). This value reflects its proposed opening RAB, forecast capex, expected inflation and rate of return, and depreciation (based on forecast capex) over the 2026–31 period.

Table 6.1 shows Ausgrid's proposed projected RAB over the 2026–31 period.

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57 EII Chapter 6A, cl. 6A.6.1(a).

58 EII Chapter 6A, cll. 6A.4.2(a)(3A)–(4) and 6A.14.1(5D).

59 EII Chapter 6A, cll. 6A.5.4(a)(1) and (b)(1).

60 EII Chapter 6A, cll. 6A.5.4(a)(2)–(3).

61 EII Chapter 6A cl. S6A.2.2B(a).

62 AER, *Guidance note on AER's EII assessment approach for non-contestable revenue determinations*, September 2025, pp. 6–9.

Table 6.1 Ausgrid's proposed RAB for the 2026–31 regulatory control period for the HCC project ($million, nominal)

	2026–27	2027–28	2028–29	2029–30	2030–31
Opening RAB	291.3	540.1	617.5	629.1	631.0
Capital expenditure[a]	250.7	73.2	9.4	3.7	3.7
Inflation indexation on opening RAB	7.6	14.0	16.1	16.4	16.4
Less: straight-line depreciation[b]	9.5	9.8	13.8	18.2	19.0
Closing RAB	**540.1**	**617.5**	**629.1**	**631.0**	**632.1**

Source: Ausgrid, *Hunter Central Coast RNIP 2026-31 – Updated PTRM*, July 2025.

a) As incurred, and net of forecast disposals. In accordance with the timing assumptions of the PTRM, the capex includes a half-year WACC allowance to compensate for the six-month period before capex is added to the RAB for revenue modelling. Includes equity raising costs.

b) Based on as commissioned capex.

6.2 AER final decision

We determine an opening RAB value for Ausgrid of $289.1 million ($ nominal) as at 1 July 2026, a decrease of $2.2 million (–0.8%) from the value proposed by Ausgrid. We forecast a closing RAB value of $647.6 million by 30 June 2031. This represents an increase of $15.5 million (2.5%) compared with Ausgrid's proposal. The reasons for our final decision are discussed below.

6.2.1 Opening RAB as at 1 July 2026

This final decision represents our first determination for Ausgrid's HCC Project as a new non-contestable network infrastructure project under the EII Act. Ordinarily, new projects do not have an opening asset base, as there is no prior revenue determination with approved capex to establish an opening RAB. However, Ausgrid is required to incur capex prior to the start date of the first regulatory control period of 1 July 2026 to meet the contracted commissioning date of the HCC Project, as set out in the contractual arrangements of the Commitment deed and draft Project Deed, which Ausgrid is required to enter into under the authorisation. To the extent that Ausgrid is obligated to incur capex prior to our revenue determination, subject to our assessment of the pudency, efficiency and reasonableness of this expenditure (section 9), an opening RAB should be established to account for this capex amount.[63]

To establish an opening RAB, we must decide on the process for rolling forward the capex to 1 July 2026, the start of the period. We determine an opening RAB value of $289.1 million ($ nominal) as at 1 July 2026, which is a decrease of 2.2 million (–0.8%) from Ausgrid's proposal. This difference results from the correction of an error (the double-counting of half-

63 AER, *TET & revenue determination guideline for non-contestable network infrastructure projects,* July 2024, p. 26.

year inflation) we identified in Ausgrid's proposed PTRM when applying a WACC escalation to its pre-period capex in 2025–26.

6.2.2 Forecast closing RAB as at 30 June 2031

We forecast a closing RAB value of $647.6 million ($ nominal) by 30 June 2031 for Ausgrid, which represents an increase of $15.5 million (2.5%) to Ausgrid's proposal. The increase reflects our final decision on the inputs for determining the forecast RAB in the PTRM. Our final decision uses the EII PTRM to forecast the closing RAB at 30 June 2031.

Table 6.2 sets out our final decision on the forecast RAB values for Ausgrid over the 2026–31 period.

Table 6.2 AER's final decision on Ausgrid's RAB for the 2026–31 regulatory control period ($million, nominal)

	2026–27	2027–28	2028–29	2029–30	2030–31
Opening RAB	289.1	546.4	627.9	641.8	645.1
Capital expenditure[a]	257.5	75.4	9.7	3.7	3.7
Inflation indexation on opening RAB	7.4	13.9	16.0	16.4	16.4
Less: straight-line depreciation[b]	7.6	7.8	11.8	16.8	17.6
Closing RAB	**546.4**	**627.9**	**641.8**	**645.1**	**647.6**

Source: AER analysis.

a) As incurred, and net of forecast disposals. In accordance with the timing assumptions of the PTRM, the capex includes a half-year WACC allowance to compensate for the six-month period before capex is added to the RAB for revenue modelling. Includes equity raising costs.

b) Based on as commissioned capex.

The change in the RAB over the 2026–31 period depends on our assessment of its various components including forecast capex (section 9) expected inflation (section 7) and forecast depreciation (section 8). Inflation and capex increase the RAB, while depreciation and asset disposals reduce it.

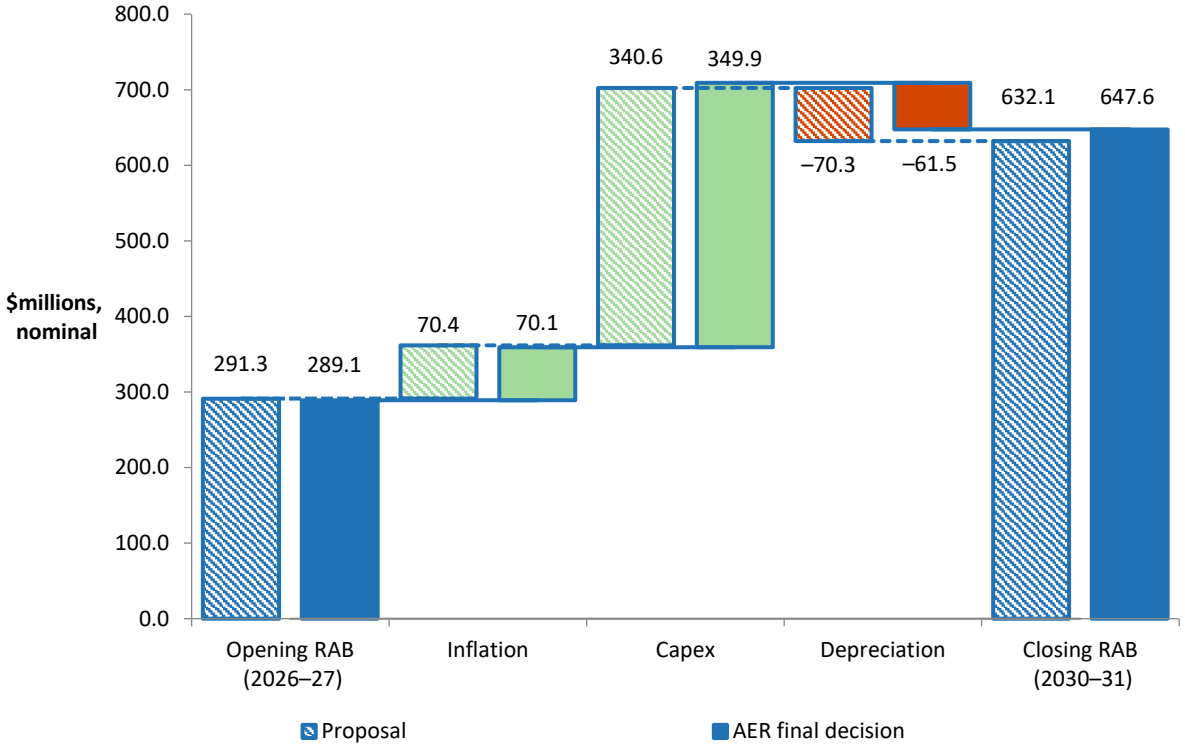
To determine the forecast the closing RAB value for Ausgrid, we amended the following PTRM inputs:

- we decreased Ausgrid's proposed opening RAB as at 1 July 2026 by $2.2 million ($ nominal) or 0.8% (section 6.2.1).
- we increased Ausgrid's proposed forecast capex for the 2026–31 period by $9.3 million ($ nominal) or 2.7% (section 9.2).
- we updated Ausgrid's proposed expected inflation rate from 2.60% per annum to 2.55% per annum over the 2026–31 period (section 7.2.4), resulting in a decrease to the indexation of the RAB component for the 2026–31 period by $0.3 million ($ nominal) or 0.4%.

- we reduced Ausgrid's proposed forecast straight-line depreciation for the 2026–31 period by $8.7 million ($ nominal) or 12.4% (section 8.2). As straight-line depreciation is deducted from the RAB, this has the effect of increasing the closing RAB.

Figure 6.1 shows the key drivers of the change in Ausgrid's RAB over the 2026–31 period for this final decision. Overall, our final decision closing RAB at the end of the 2026–31 period is forecast to be $358.5 million (124.0%) higher than the opening RAB at the start of that period, in nominal terms. The approved forecast net capex is the largest factor behind the increase, more than doubling the opening RAB. This reflects that this is a new asset being built by Ausgrid under the EII framework, with the build-up in the RAB over the period a result of the initial construction phase of the HCC project.

Figure 6.1 Key drivers of change in RAB over the 2026–31 period – Proposal compared to final decision ($million, nominal)



Source: AER analysis.

Note: Capex is net of forecast disposals. It is inclusive of the half-year WACC to account for the timing assumptions in the PTRM.

6.2.3 Application of depreciation approach in RAB roll forward for next reset

We determine that the depreciation approach to be applied to Ausgrid's opening RAB at the commencement of the 2031–36 period will be based on the depreciation schedules (straight-line) using forecast capex at the asset class level approved for the 2026–31 period.

We consider this approach will provide sufficient incentives for Ausgrid to achieve capex efficiency gains over the 2026–31 period.[64]

Ausgrid's proposal did not specify what depreciation approach to use in the roll forward of the RAB for the commencement of its 2031–36 period. However, we consider that the forecast depreciation approach should be used to establish the opening RAB as at 1 July 2031. This is consistent with the forecast depreciation approach used for Ausgrid's RAB under the NER.[65]

As discussed in section 12.2.1, we will apply the CESS as set out in version 4 of the Capital Expenditure Incentive Guidelines to Ausgrid over the 2026–31 period. We consider that the CESS will provide sufficient incentives for Ausgrid to achieve capex efficiency gains over that period. We are satisfied that the use of a forecast depreciation approach in combination with the application of the CESS and our other ex-post capex measures are sufficient to achieve the capex incentive objective.[66]

64 EII Chapter 6A, cll. 6A.14.1(5E) and S6A.2.2B.

65 AER, *Final Decision Attachment 2 – Regulatory asset base – Ausgrid – 2024–29 Distribution revenue proposal*, April 2024, p. 10.

66 Our ex-post capex measures are set out in the capex incentives guideline, AER, *Capital expenditure incentive guidelines*, August 2025, pp. 17–25. The guideline also sets out how our capex incentive measures are consistent with the capex incentive objective.

7 Rate of Return

The return each business is to receive on its RAB, known as the 'return on capital', is a key driver of proposed revenues. We calculate the regulated return on capital by applying a rate of return to the value of the RAB.[67]

We estimate the rate of return by combining the returns of the two sources of funds for investment: equity and debt. The allowed rate of return provides the business with a return on capital to service the interest on its loans and give a return on equity to investors.

We also make an estimate of expected inflation over the next 5 years. Alongside our nominal estimate of the rate of return, these determine the effective real return that will be provided to investors over time.

Our assessment approach for the rate of return is detailed in section 4 of our assessment approach guidance note.[68]

7.1 Ausgrid's proposal

Ausgrid's proposal applied the 2022 Rate of Return Instrument.[69] Ausgrid proposed the following inputs for the rate of return, expected inflation, and debt and equity raising costs for the 2026–31 regulatory control period:[70]

- a nominal vanilla weighted average cost of capital (WACC) of 6.80%
- a value of imputation credits (gamma) of 0.57
- an expected inflation rate of 2.60%
- equity raising costs of $1.3 million ($2025–26)
- debt raising costs of 8.3 basis points per annum or a total of $1.3 million ($2025–26).

The nominal vanilla WACC of 6.80% was calculated using market data from placeholder averaging periods. Ausgrid has proposed to use its confidentially nominated averaging periods to estimate its final revenue.[71] This included one risk-free rate averaging period (used to calculate the return on equity) and five averaging periods for the return on debt, so that the latter could be updated annually across the 2026–31 regulatory control period.

In addition to the inputs for the 2026–31 period, Ausgrid proposed a nominal WACC of 5.98% for 2025–26 to capitalise its pre-period capex incurred in 2025–26. This WACC is consistent with our 2024–25 final decision for Ausgrid's distribution determination under the NER.[72]

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67 EII Chapter 6A, cl. 6A.6.2.

68 AER, *Guidance note on AER's EII assessment approach for non-contestable revenue determinations*, September 2025, pp. 10–12.

69 AER, *Rate of return instrument*, February 2023, https://www.aer.gov.au/publications/guidelines-schemesmodels/rate-of-return-instrument-2022

70 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Revenue proposal*, May 2025, p. 65.

71 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Revenue proposal – CONFIDENTIAL*, May 2025, pp. 66–67.

72 AER, *Ausgrid 2024–29 – PTRM - Transmission – 2025–26 RoD update*, March 2025.

7.2 AER final decision

For this final decision, we apply the current 2022 Rate of Return Instrument (2022 Instrument)[73], consistent with the requirements of the EII Regulation and Ausgrid's proposal.[74] The 2022 Instrument specifies how we will estimate:

- the return on debt
- the return on equity
- the overall rate of return
- the value of imputation credits

Our final decision estimates an allowed rate of return of 6.53% (nominal vanilla) through the application of the 2022 Instrument to Ausgrid's proposal for the 2026–31 period.

We will update the return on debt component of the rate of return each year, in accordance with the 2022 Instrument, to use a 10-year trailing average portfolio return on debt that is rolled forward each year. Hence, only 10% of the return on debt is calculated from the most recent averaging period, with 90% from prior periods. Ausgrid will gradually transition the HCC Project RAB into the trailing average portfolio, as described further below.

As such, our calculated rate of return in Table 7.1 would apply to the first year of the 2026–31 period. A different rate of return may apply for the remaining regulatory years.

Table 7.1 AER's final decision on Ausgrid's rate of return for the 2026–31 period

	Ausgrid proposal	AER final decision	Allowed return over period
Nominal risk-free rate	4.50%[a]	4.32%[c]	
Market risk premium	6.20%	6.20%	
Equity beta	0.6	0.6	
Return on equity (nominal post-tax)	8.22%	8.04%	Constant (%)
Return on debt (nominal pre-tax)	5.85%[b]	5.53%	Updated annually
Gearing	60%	60%	Constant (%)
Nominal vanilla WACC	6.80%[ab]	6.53%[c]	Updated annually for return on debt
Expected inflation	2.60%	2.55%	Constant (%)

Source: AER analysis; Ausgrid, *Hunter Central Coast RNIP 2026–31 – Attachment 6.2: Rate of return*, May 2025.

a) Calculated using a placeholder averaging period between 8 January 2025 and 12 February 2025.

b) Calculated using a placeholder averaging period between 15 January 2025 and 17 March 2025.

c) Calculated using different averaging periods to the revenue proposal.

73 AER, *Rate of return instrument*, February 2023.

74 EII Regulation, cl. 47D(4).

Our final decision is also to:

- Accept Ausgrid's proposed risk-free rate averaging period[75] and debt averaging periods[76] because they comply with the conditions set out in the 2022 instrument. We specify these averaging periods in confidential appendix C.
- Apply a value of imputation credits (gamma) of 0.57 as specified in the 2022 Instrument.[77]
- Accept Ausgrid's proposed approach to estimating forecast inflation as it is consistent with our 2020 Inflation Review.[78] However, we have updated the inputs to reflect the latest market data available, resulting in an expected inflation of 2.55%.

7.2.1 True up for final averaging periods

The 2022 Instrument allows Ausgrid to nominate averaging periods for the return on debt and the risk-free rate (used for the return on equity).[79] Ausgrid has already nominated these periods, but the time periods available for selection could be before or after this final decision. Therefore, the required market data from Ausgrid's nominated averaging periods may not be available in time to include in our final decision.[80] The 2022 Instrument is designed such that even if the latest possible averaging periods are nominated, data relevant to the first year of the regulatory control period can be included in a NER final decision.[81] However, the EII framework has a shorter timeline than a standard NER revenue determination, by about 9 months. This means that our ability to include the relevant market data in an EII final decision depends on the specific dates of the averaging periods nominated by the Network Operator.

To preserve confidentiality over Ausgrid's nominated averaging periods, we have included a mechanism in the PTRM to allow us to adjust revenues to true up for any rate of return not known at the time of the final decision.[82] If this occurs, a placeholder averaging period would be used in our final decision and we would subsequently adjust revenues to 'true-up' and put Ausgrid back in the position it would have been in, had the outcomes been known in time for the final decision. Our decision to develop a mechanism to incorporate later averaging periods under the EII framework should not be viewed as confirming that Ausgrid has nominated periods of this type. Even if it is not used in this case, it will be relevant to any

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75 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Revenue proposal*, May 2025, p. 67.

76 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Revenue proposal*, May 2025, p. 66.

77 AER, *Rate of return Instrument, Explanatory Statement*, February 2023, pp. 240–250.

78 AER, *Final position – Regulatory treatment of inflation*, December 2020.

79 AER, *2022 Rate of return instrument (version 1.2)*, March 2024, cll. 7–8, 23–24.

80 More specifically, this statement refers to data from the risk-free rate averaging period (which is relevant across the whole 5-year regulatory control period) and the year 1 return on debt averaging period (which is relevant to 2024–25 only). It is always expected that year 2 to year 5 return on debt averaging periods will not be known when the final decision is made.

81 The 2022 Instrument specifies that the risk-free rate averaging period must finish 4 months before the start of the regulatory control period, and the return on debt averaging period must finish 5 months before the start of the relevant regulatory year. AER, *Rate of return instrument*, February 2023 (version 1.1 as amended August 2023), cll. 8, 24.

82 See adjustment mechanisms 5 and 7 in Table 13.1 below. We will use a placeholder averaging period as close as practicable to the date of the final decision, noting that some lead time is necessary for data providers to publish the data and for the AER to obtain and process it.

later decisions under the EII framework and so provide for Network Operators to select from the full set of permissible averaging periods under the 2022 Instrument.

7.2.2 Transition to the trailing average portfolio return on debt

The 2022 Instrument provides for a gradual transition into the 10-year trailing average portfolio return on debt.[83] This transition period commences in the first regulatory year for which the return on debt is calculated using a trailing average for the first time for the relevant regulated service. The transition takes 10 years to complete.

In the first year, there is only one return on debt estimate, so it is given 100% weight. In each subsequent year, a new estimate is added to the portfolio and given 10% weight, while the weight on the earliest year reduces by 10%. Eventually, after 10 years, a rolling 10-year window is established.

For Ausgrid across the 2026–31 regulatory control period, this means the weights are as follows:

- 2026–27: 100% on 2026–27
- 2027–28: 90% on 2026–27, 10% on 2027–28
- 2028–29: 80% on 2026–27, 10% on 2027–28, 10% on 2028–29
- 2029–30: 70% on 2026–27, 10% on 2027–28, 10% on 2028–29, 10% on 2029–30
- 2030–31: 60% on 2026–27, 10% on 2027–28, 10% on 2028–29, 10% on 2029–30, 10% on 2030–31

This pattern continues until the full 10-year rolling window is established in 2035–36.

7.2.3 Pre-period rate of return

The pre-period WACC is used to capitalise Ausgrid's pre-period expenditure to form an opening RAB at the start of its regulatory control period.

Under the EII framework, a Network Operator may be required to incur expenditure prior to the first regulatory determination. For a non-contestable process, a Network Operator can only recover its investments through our revenue determinations. As such, we consider it reasonable for a Network Operator to capitalise its efficient, prudent and reasonable pre-period expenditure to form an opening RAB as at the start of the relevant regulatory control period.[84] We typically apply a nominal WACC when capitalising these costs to compensate the Network Operator for the delay in revenue recovery. However, while we are bound by the 2022 Instrument in determining an overall rate of return when making a determination, it does not address the specific situation where there is expenditure in advance of the first regulatory control period.

We expect financing costs during the pre-period years to be reflective of the broader business' rate of return, reflecting the opportunity cost of obtaining financing in these years.

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83 AER, *2022 Rate of return instrument (version 1.2)*, March 2024, cl. 9.

84 AER, *TET & revenue determination guideline for non-contestable network infrastructure projects,* July 2024, p. 26.

As such, we consider using the rate of return determined in a Network Operator's NER determination for the relevant year is an approach that aligns with the 2022 Instrument.

Consistent with Ausgrid's proposal, our final decision is to apply a WACC of 5.98% from Ausgrid's 2024–29 NER final decision for the 2025–26 financial year in rolling forward the pre-period capex to determine an opening RAB as at 1 July 2026 for the HCC Project.

We will update this 2025–26 nominal WACC for actual inflation, once this input becomes available, through an adjustment mechanism (section 13). This approach is consistent with our 2024–29 final decision for the Waratah Super Battery non-contestable project[85] and our standard NER approach to roll forward the RAB by adjusting the allowed WACC for actual inflation.

7.2.4 Expected inflation rate

Our estimate of expected inflation included in this final decision is 2.55% (Table 7.2) based on the approach adopted in our final position paper from our 2020 Inflation Review.[86]

Ausgrid's proposal adopted our current approach for estimating expected inflation.[87] Our final decision therefore updates the relevant inputs for the latest information available at the time of this final decision.

Table 7.2 AER's final decision on Ausgrid's forecast inflation (%)

	2026–27	2027–28	2028–29	2029–30	2030–31	Total
Expected inflation	2.60	2.58	2.55	2.53	2.50	2.55

Source: AER analysis: RBA, *Statement on Monetary Policy*, August 2025, Table: Output Growth, Unemployment and Inflation Forecasts. See https://www.rba.gov.au/publications/smp/2025/aug/overview.html.

7.2.5 Imputation credits

Our final decision applies a value of imputation credits (gamma) of 0.57 as set out in the 2022 Instrument.[88] This is consistent with the value included in Ausgrid's proposal.[89]

7.2.6 Capital raising costs

In addition to compensating for the required rate of return on debt and equity, we provide an allowance for the transaction costs associated with raising debt and equity. Our final decision forecasts for debt and equity raising costs are included in the PTRM.

Equity raising costs

85 AER, *Final decision: Transgrid 2024–29 – WSB project (Non-contestable)*, December 2023, pp. 17–18.

86 AER, *Final position – Regulatory treatment of inflation*, December 2020.

87 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Revenue proposal*, May 2025, pp. 67–68.

88 AER, *Rate of return Instrument, Explanatory Statement*, February 2023, pp. 240–250.

89 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Revenue proposal*, May 2025, p. 69.

Equity raising costs are transaction costs incurred when a service provider raises new equity. We provide an allowance to recover an efficient amount of equity raising costs. We include equity raising costs in the capex forecast because these costs are only incurred once and would be associated with funding the particular capital investments. Equity raising costs are calculated in our PTRM as part of our approved capex for the first year of the period.

Ausgrid has forecast $1.3 million ($2025–26) in equity raising costs in the PTRM, using the approach set out in the model. We have updated our estimate for the 2026–31 period based on the benchmark approach using updated inputs. This results in equity raising costs of $1.4 million ($2025–26).

Debt raising costs

Debt raising costs are the transaction costs incurred each time debt is raised or refinanced, as well as the costs for maintaining the debt facility. These costs may include underwriting fees, legal fees, company credit rating fees and other transaction costs. We include debt raising costs in the opex forecast because these are regular and ongoing costs which are likely to be incurred each time service providers refinance their debt. Ausgrid has proposed debt raising costs of 8.3 basis points per annum, consistent with the AER's decision for Ausgrid's most recent determination under the NER.[90] While our final decision has updated the debt raising costs unit rate to 10.3 basis points per annum, there is no consequential change in revenue as we have accepted Ausgrid's proposed total opex (section 10) inclusive of its debt raising costs. Therefore, our final decision includes total debt raising costs of $1.3 million ($2025–26) for the 2026–31 period, consistent with Ausgrid's proposal.

[90] Ausgrid, *Hunter Central Coast RNIP 2026–31 – Revenue proposal*, May 2025, p. 68.

8 Regulatory depreciation

Depreciation is the amount provided so capital investors recover their investment over the economic life of the asset (return of capital). In deciding whether to approve the depreciation schedules submitted by Ausgrid, we make determinations on:

- The indexation of the RAB and depreciation building blocks for the regulatory control period.[91] The regulatory depreciation amount is then calculated as the net total of the straight-line depreciation less the indexation of the RAB.[92]
- The capability for the Network Operator to efficiently obtain finance to carry out the network infrastructure project.[93]

This section sets out our final decision on Ausgrid's regulatory depreciation amount, proposed depreciation schedules and asset lives used for calculating the straight-line depreciation. Our assessment approach for depreciation is detailed in section 5 of our assessment approach guidance note.[94]

8.1 Ausgrid's proposal

For the 2026–31 period, Ausgrid proposed a total forecast regulatory depreciation amount of –$0.1 million ($ nominal). To calculate the depreciation amount, Ausgrid proposed to use:[95]

- the straight-line depreciation method employed in our EII PTRM for standard asset classes
- an opening as commissioned RAB value as at 1 July 2026 calculated by escalating pre-period capex with a nominal WACC
- the proposed forecast as commissioned capex for the 2026–31 period
- an expected inflation rate of 2.60% per annum for the 2026–31 period
- the same asset classes and standard asset lives for depreciating its forecast capex for the 2026–31 period as those approved in its 2024–29 NER final decision. Ausgrid's updated proposal also included the IT systems, Furniture, fittings, plant and equipment, Motor vehicles and the Buildings (non-system) asset classes, to depreciate its capex overheads. These asset classes were omitted from Ausgrid's proposal initially as it erroneously did not include capex associated with its overheads in its initial proposal (section 9.2.9).
- a new asset class called 'Infrastructure Planner Fee' to depreciate capex related to contractual costs it is required to pay EnergyCo, consistent with clause 46(1)(b)(ii) of the EII Regulation (section 9.2.10). Ausgrid proposed a 25-year remaining life for this asset class to align with the Project term.

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91 EII Chapter 6A, cll. 6A.5.4(a)(1) & (3) & 6A.14.1.

92 EII Chapter 6A, cl. S6A.2.4(c).

93 EII Regulation cl. 47D(3); EII Chapter 6A, cl. 6A.6.3(d).

94 AER, *Guidance note on AER's EII assessment approach for non-contestable revenue determinations*, September 2025, pp. 13–18.

95 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025.

- remaining asset lives set equal to standard asset lives for pre-period capex incurred prior to 1 July 2026.

Ausgrid did not propose a financeability adjustment for the HCC Project as its assessment did not indicate a financeability issue arose from the inclusion of the forecast expenditure for the HCC Project.[96]

Ausgrid's proposal assumed the years in which capacity will be made available for the HCC Project as a proxy for setting its forecast 'as commissioned' capex profile for all asset classes except for the Infrastructure Planner Fee asset class. Ausgrid proposed for the expenditure associated with this latter asset class to be fully commissioned at the same time it is incurred. Ausgrid explained that the Infrastructure Planner Fee asset class, introduced as a new asset class within the EII PTRM, is distinct from existing asset categories under the NER as the expenditure is significant, upfront and outside its control. Consequently, Ausgrid posited that the capex associated with this asset class should be considered 'commissioned' from when this payment is made to EnergyCo in the pre-period year of 2025–26.[97]

Table 8.1 sets out Ausgrid's proposed apportionment of as commissioned capex to calculate the straight-line depreciation amount for the 2026–31 period.

Table 8.2 sets out Ausgrid's proposed annual depreciation amounts for the 2026–31 period.

Table 8.1 Ausgrid's proposed as commissioned approach to calculate depreciation

	2025–26	2026–27	2027–28	2028–29	2029–30	2030–31
As commissioned apportionment for all asset classes except Infrastructure Planner Fees	35%	0%	28%	37%	0%	0%
As commissioned apportionment for Infrastructure Planner Fees	100%	0%	0%	0%	0%	0%

Source: Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025.

Table 8.2 Ausgrid's updated proposed regulatory depreciation for the 2026–31 regulatory control period ($million, nominal)

	2026–27	2027–28	2028–29	2029–30	2030–31	Total
Straight-line depreciation	9.5	9.8	13.8	18.2	19.0	70.3
Less: Inflation indexation on opening RAB	7.6	14.0	16.1	16.4	16.4	70.4
Regulatory depreciation	**2.0**	**–4.2**	**–2.3**	**1.8**	**2.6**	–0.1

Source: Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025.

96 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Revenue proposal*, May 2025, pp. 74–75.

97 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Revenue proposal*, May 2025, pp. 63–64.

8.2 AER final decision

Our final decision determines a regulatory depreciation amount of –$8.6 million ($nominal) for Ausgrid over the 2026–31 period for the HCC Project. As this is a negative amount, its effect is to reduce the total revenue calculated. Our final decision represents a reduction of $8.4 million compared to Ausgrid's proposed regulatory depreciation amount of –$0.1 million.

In calculating the straight-line depreciation amount in our final decision, we:

- Accept Ausgrid's proposed straight line depreciation method for calculating the regulatory depreciation amount as set out in the EII PTRM, including its 'as commissioned' capex profile as it is consistent with the provisions in EII Chapter 6A, clause 6A.6.3.[98]
- Accept Ausgrid's proposed asset classes and associated standard and remaining asset lives where they are equivalent to the standard asset lives approved in our most recent NER revenue determination.
- Accept Ausgrid's proposed new 'Infrastructure Planner Fee' asset class and its standard and remaining asset life of 25 years. However, we have changed the name of this asset class to 'Infrastructure Planner Fees – EnergyCo' and allocated a portion of capex from this asset class to Ausgrid's NER equivalent asset classes. This change is the primary driver of the decrease in Ausgrid's straight-line depreciation amount compared to its proposal and is explained further below.
- Consistent with Ausgrid's proposal to not propose a financeability request, we have not modified the depreciation schedules for financeability as we consider that Ausgrid is capable of efficiently obtaining finance for the HCC Project.[99]

Regulatory depreciation is also affected by the indexation of the RAB. We have determined a lower RAB indexation compared to the proposal largely due to applying a lower expected inflation rate of 2.55% per annum in this final decision compared to Ausgrid's proposal of 2.60% per annum.[100] This has the effect of marginally offsetting the significant decrease in the depreciation allowance as a result of our reallocation of IPF-related capex.

Table 8.3 sets out our final decision on the forecast regulatory depreciation amount for Ausgrid's 2026–31 period for the HCC Project.

98 EII Regulation, cl. 47D(2).

99 EII Regulation cl. 47D(3); EII Chapter 6A, cl. 6A.6.3A(i).

100 Since indexation is deducted from straight-line depreciation, the higher RAB indexation has also resulted in a lower regulatory depreciation.

Table 8.3 AER's final decision for the 2026–31 regulatory control period ($million, nominal)

	2026–27	2027–28	2028–29	2029–30	2030–31	Total
Straight-line depreciation	7.6	7.8	11.8	16.8	17.6	61.5
Less: Inflation indexation on opening RAB	7.4	13.9	16.0	16.4	16.4	70.1
Regulatory depreciation	**0.2**	**–6.1**	**–4.2**	**0.4**	**1.1**	**–8.6**

Source: AER analysis.

8.2.1 Standard and remaining asset lives

Ausgrid proposed the same asset classes and standard asset lives as those we approved in our 2024–29 NER final decision for Ausgrid.[101] We accept the proposed asset classes and asset lives as they are identical to those determined for Ausgrid under the NER, which we have assessed to be reflective of the economic life of the assets.[102] Therefore, we consider Ausgrid's proposed asset lives and depreciation schedule results in a profile that reflects the nature of the asset over the economic life of the asset. The proposed standard asset lives are also largely comparable with those approved by us for other network service providers under the NER.

We consider Ausgrid's proposed standard life of 25 years for the new Infrastructure Planner Fee asset class, which reflects the Project term, is only reasonable for a subset of the expenditure in this asset class. The proposed asset class includes $162.7 million capex associated with contractual costs Ausgrid is required to pay EnergyCo under its draft Project Deed.[103] These contractual costs for the HCC Project are split into two portions:

- Ausgrid's portion – $69.8 million in costs which relate to early work activities undertaken by Ausgrid, as required by EnergyCo, to progress the project per the schedule set out in its Commitment Deed with EnergyCo.[104]
- EnergyCo's portion – $92.9 million in costs which primarily related to early planning works to enable the HCC Project and general administration of the project.

We consider that the depreciation of IPF-related capex should differentiate between EnergyCo's portion and Ausgrid's portion. The expenditure associated with Ausgrid's direct spend to perform early works can be linked to assets with a clear economic life. As such, our final decision is to reallocate Ausgrid's portion of these costs to the other NER equivalent asset classes, better reflecting the nature of the underlying assets or group of assets.[105]

On the other hand, the expenditure in EnergyCo's portion does not relate directly to a distinct asset for the HCC Project. As such, we consider Ausgrid's proposal to depreciate these

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101 AER, *Final Decision – Overview – Ausgrid – 2024–29 Distribution revenue proposal*, April 2024.

102 EII Chapter 6A, cl. 6A.6.3(b)(1).

103 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Attachment 2.1 – Draft Project Deed*, May 2025.

104 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Attachment 2.3 – Commitment Deed*, May 2025.

105 EII Chapter 6A, cl. 6A.6.3(b)(1).

costs over the Project term appears to be a reasonable approach. Ausgrid accepted our approach in its submission to our preliminary position paper.[106]

In order to implement this change in our final decision, we have changed the name of the 'Infrastructure Planner Fee' asset class to the 'Infrastructure Planner Fee - EnergyCo' asset class which will only contain EnergyCo's portion of IPFs. The capex in this asset class will be commissioned at the same time as it is incurred in 2025–26 and depreciated over a 25-year asset life, consistent with Ausgrid's proposal. Our final decision separately allocates Ausgrid's portion of IPFs to the Communications (digital) – tx, 132kV concrete & steel pole lines, Transmission substation equip 132/66kV, Transmission & Zone land & easements and Ancillary substation equipment asset classes, based on Ausgrid's cost allocation method for indirect costs.[107] This capex will be depreciated in line with the asset lives for these asset classes and commissioned in the years in which capacity will be made available for the HCC Project as set out in Table 8.1.

The standard asset life for the 'Equity raising costs' asset class needs to be reviewed for each regulatory control period. We consider the standard asset life for this asset class should reflect the lives of the mix of assets making up the approved forecast net capex, because the equity raising cost benchmark is associated with that forecast.[108] Therefore, for this final decision, we have calculated a standard asset life of 48.3 years which reflects the weighted average of the standard asset lives of all depreciable asset classes over the 2026–31 period. This compares to the 48.7 years standard asset life calculated in Ausgrid's updated proposed PTRM. The difference in the standard asset life between our final decision and Ausgrid's updated proposal for the Equity raising costs asset class is due to our final decision on Ausgrid's forecast capex (section 9).

We accept Ausgrid's proposal to set the remaining asset lives equal to standard asset lives for asset classes with an opening RAB value as the assets cannot be depreciated before the start of the first regulatory control period for the HCC Project.

Table 8.4 sets out our final decision on the remaining asset lives as at 1 July 2026 and standard asset lives for the 2026–31 period for Ausgrid's HCC Project.

106 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Position Paper*, September 2025.

107 Ausgrid, *Response to IR#001 – Depreciation of Infrastructure Planner Fees*, June 2025.

108 For this reason, we used forecast net capex as the weights to establish the weighted average standard asset life for amortising equity raising costs.

Table 8.4 AER's final decision on Ausgrid's remaining and standard asset lives for the 2026–31 period (years)

Asset class	Remaining asset life	Standard asset life
Communications (digital) – tx	10.0	10.0
132kV concrete & street pole lines	55.0	55.0
Transmission substation equip 132/66kV	45.0	45.0
Transmission & zone land & easements[a]	n/a	n/a
Ancillary substation equipment	15.0	15.0
Infrastructure Planner Fees – EnergyCo	25.0	25.0
IT systems[b]	n/a	5.0
Furniture, fittings, plant and equipment[b]	n/a	17.4
Motor vehicles[b]	n/a	10.2
Buildings (non-systems)[b]	n/a	35.9
Equity raising costs[b]	n/a	48.3

Source: AER analysis.

a) Not applicable. We have not assigned a standard or remaining life to the Transmission & zone land & easements; asset class because the assets are not subject to depreciation.

b) Not applicable. We have not assigned remaining asset lives to the IT systems, Furniture, fittings, plant and equipment, Motor vehicles, Buildings (non-systems), and Equity raising costs asset classes because they do not have an opening RAB value as at 1 July 2026.

9 Capital Expenditure

Capital expenditure (capex) refers to investment made for the development and construction of network infrastructure. This investment mostly relates to assets with long asset lives (30-50 years), the costs of which are recovered over several regulatory control periods.

Under the regulatory framework, Ausgrid's revenue proposal must include the total forecast capex that it considers is required to comply with all regulatory requirements associated with the provision of regulated network services and maintain the safety of the network infrastructure project through the supply of regulated network services (the capex objectives).[109] We must determine whether or not we are satisfied that Ausgrid's forecast capex (including pre period capex) reasonably reflects the capex criteria.[110] In doing so, we must have regard to the capex factors specified in EII Chapter 6A.[111] If we are not satisfied, we must set out the reasons for this decision and an estimate of the total capex that we are satisfied reasonably reflects the capex criteria, taking into account the capex factors.[112]

Our assessment approach for capex is detailed in section 6 of our assessment approach guidance note.[113]

9.1 Ausgrid's proposal

Ausgrid proposed $604.2 million (real, $2025–26) in forecast capex for the HCC Project. This includes pre-period capex of $283.0 million over 2025–26 and forecast capex of $321.2 million for the 2026–31 period.[114] Ausgrid's pre-period capex includes expenditure incurred prior to the start of the regulatory control period, as well as IPFs incurred in accordance with clause 46(1)(b)(ii) of the EII Regulation.[115]

Table 9.1 sets out the total forecast capex by category and year.

109 EII Chapter 6A, cl. 6A.6.7(a).

110 EII Chapter 6A, cl. 6A.6.7(c). The capex criteria include (1) the efficient costs of achieving the capex objectives; (2) the costs that a prudent operator would require to achieve the capex objectives; and (3) a realistic expectation of the cost inputs required to achieve the capex objectives.

111 EII Chapter 6A, cl. 6A.6.7(e).

112 EII Chapter 6A, cl. 6A.14.1(2).

113 AER, *Guidance note on the AER's EII Assessment Approach for Non-contestable revenue determinations,* September 2025

114 Ausgrid initially proposed a total of $590.8 million ($2025–26) in capex, then later submitted an updated revenue proposal reflecting the addition of capex overheads (e.g. fleet, ICT and property) to the HCC Project consistent with Ausgrid's cost allocation methodology.

115 The Infrastructure Planner Fee is a payment Ausgrid is required to make to EnergyCo, which reimburses EnergyCo's costs for undertaking development functions and activities for early works. The EnergyCo component is displayed as a single line item in table 9.1, whereas the Ausgrid component is incorporated in the relevant capex categories of pre-period expenditure.

Table 9.1 Ausgrid's proposed capex by category ($million, $2025–26)

Category	Pre-period	Forecast					Total forecast	Total
		FY27	FY28	FY29	FY30	FY31		
Transmission lines	80.8	99.9	22.4	-	-	-	122.2	203.1
Substations	28.7	62.6	14.7	0.2	-	-	77.5	106.2
Land and easements	2.2	19.3	2.1	-	-	-	21.4	23.7
Secondary systems	0.9	1.3	1.7	0.1	-	-	3.1	4.0
Communications	5.3	2.5	-	-	-	-	2.5	7.7
Owner's costs	21.9	15.1	13.3	4.3	-	-	32.7	54.6
Design, social licence and other	37.0	10.0	4.4	0.3	-	-	14.7	51.8
IPF (EnergyCo comp)	92.9	-	-	-	-	-	-	92.9
Risk costs	13.2	25.9	7.2	0.6	-	-	33.7	46.9
CAM allocated capex	-	1.5	2.3	3.1	3.2	3.2	13.4	13.4
Total	**283.0**	**238.2**	**68.1**	**8.5**	**3.2**	**3.2**	**321.2**	**604.2**

Source: Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025.

Note: Excludes equity raising costs. Numbers may not sum due to rounding.

9.2 AER final decision

Our final decision on Ausgrid's determination is to provide an alternative capex forecast of $615.1 million (including pre-period costs). We consider this forecast to reasonably reflect prudent, efficient, and reasonable costs to meet the capex objectives. Our alternative capex forecast reflects our decision to amend the 'land acquisition and planning' adjustment mechanism and accept Ausgrid's updated forecast of 'enabling activities', for costs associated with connecting the HCC Project to the broader transmission network. Table 9.2 sets out our final decision on Ausgrid's forecast capex by year and category.

Table 9.2 AER's final decision capex by category ($million, $2025–26)

Category	Pre-period	Forecast					Total forecast	Total
		FY27	FY28	FY29	FY30	FY31		
Transmission lines	80.8	99.9	22.4	-	-	-	122.2	203.1
Substations	28.7	62.6	14.7	0.2	-	-	77.5	106.2
Land and easements	2.9	25.2	2.7	-	-	-	27.9	30.8
Secondary systems	1.8	2.1	3.2	0.4	-	-	5.8	7.5
Communications	5.3	2.5	-	-	-	-	2.5	7.7
Owner's costs	21.9	15.1	13.3	4.3	-	-	32.7	54.6
Design, social licence and other	37.0	10.0	4.4	0.3	-	-	14.7	51.8
IPF (EnergyCo comp)	92.9	-	-	-	-	-	-	92.9
Risk costs	13.2	25.9	7.2	0.6	-	-	33.7	46.9
CAM allocated capex	-	1.5	2.3	3.1	3.2	3.2	13.4	13.4
Modelling adjustments	-	0.1	0.1	0.0	0.0	0.0	0.2	0.2
Total	**284.5**	**245.0**	**70.4**	**8.8**	**3.3**	**3.2**	**330.6**	**615.1**

Source: AER analysis.

Note: Excludes equity raising costs. Numbers may not sum due to rounding. Modelling adjustments relate to updates to CPI assumptions.

9.2.1 Transmission lines

Ausgrid proposed $203.1 million in capex to build transmission lines connecting new generation with load in the HCC REZ and existing exit points to the main grid.[116] Transmission lines are the largest single component of total capex, representing 33% of total forecast capex. Ausgrid will upgrade existing feeders to connect local loads and carry the residual output to the existing 330/132 kV main grid exit points. Of the proposed transmission lines capex, 94% is based on external resources.[117]

Following a request for further information, Ausgrid provided its Recommendation to Award (RTA) document for the transmission lines works, which demonstrated that Ausgrid conducted a competitive tender process to select its preferred bidder. We reviewed Ausgrid's tender process, including its early engagement, bid process, and evaluation summary. We consider the tender process was effective and Ausgrid selected the bidder offering the lowest cost to build the transmission lines.

On this basis, we are satisfied that Ausgrid's proposed capex for transmission lines is prudent, efficient and reasonable.

9.2.2 Substations

Ausgrid proposed $106.2 million in capex to build two new 132kV subtransmission switching stations (Sandy Creek STSS and Antiene STSS), to augment existing subtransmission substations (Kurri, Mitchell Line, Singleton and Muswellbrook) and to install a 'series reactor' at 132/11 kV zone substation in Rothbury.[118] Approximately 97% of forecast expenditure for substations and switching is based on external delivery.[119]

Following a request for further information, Ausgrid provided its RTA document for the substations, which demonstrated that Ausgrid conducted a competitive tender process to select its preferred bidder. We reviewed Ausgrid's tender process, including its early engagement, bid process, and evaluation summary. We found that the tender process was effective and Ausgrid selected the bidder offering the lowest cost to build the substations.

On this basis, we are satisfied that Ausgrid's proposed capex for substations is prudent, efficient and reasonable.

9.2.3 Land and easements

Ausgrid initially proposed $23.7 million in capex to acquire property interests from Crown land and private landholders. Following a request for further information in relation to the related 'Land acquisition and planning costs' adjustment mechanism, Ausgrid submitted a revised capex forecast of $30.8 million. We discuss this further in section 13.2.2. The total

116 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 44.
117 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 45.
118 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 47.
119 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 48.

cost includes forecast land acquisition costs, market valuations of land and associated professional fees incurred through the acquisition process.[120] Ausgrid plans to minimise land and property impacts by utilising its existing landholdings, easements, and infrastructure corridors within the REZ.

Ausgrid appointed Jones Lang LaSalle as an independent valuer to provide preliminary desktop advice in relation to the estimated compensation payable to respective landowners of the land required for the HCC Project and estimates for professional fees payable to support land acquisition (e.g. legal, conveyancing, valuation). Based on our review of Ausgrid's independent valuer report we consider the compensation payable to the respective landowners for the land and easements required for the HCC Project, as well as the estimates for professional fees, reflect current market rates and are appropriate.

On this basis, we are satisfied the proposed costs for land and easements are prudent, efficient and reasonable.

9.2.4 Secondary systems

Ausgrid initially proposed $4.0 million in secondary systems and ancillary works capex to modernise secondary systems in the Upper Hunter to comply with NER standards and enable bi-directional power flow, including upgrading protection on 132kV lines. Transgrid will also perform enabling works to facilitate connection to the NSW transmission network.[121] During our assessment, Ausgrid submitted a revised cost of its enabling works, based on an updated cost estimate from Transgrid, and this forecast increased to $7.5 million.

We reviewed Ausgrid's proposed secondary systems and ancillary works capex and found that: the labour rates were based on Ausgrid's internal sources and benchmarked against AER approved labour rates; the contracted services were based on prior Transgrid capital works; and materials costs were based on market tested prices.

On this basis, we are satisfied the proposed (revised) secondary systems costs are prudent, efficient and reasonable.

9.2.5 Communications

Consistent with the authorised project, Ausgrid proposed $7.7 million in capex to install a secure fibre communications link between the HCC REZ and Sydney to enhance redundancy and security for the electricity network so that the HCC Project can be operated in a safe and secure manner.[122]

The proposed works include 30 km of optical fibre ground wire and 2 km all dielectric self-supporting fibre installation. Approximately 91% of forecast expenditure is based on an external delivery model.[123]

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120 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 50.

121 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 51.

122 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 52.

123 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 52.

We reviewed Ausgrid's proposed communications capex and found that the contracted services are consistent with market tested prices and the labour rates are based on Ausgrid's internal sources and benchmarked against AER approved labour rates.

On this basis, we are satisfied the proposed communications costs are prudent, efficient and reasonable.

9.2.6 Owner's costs

Ausgrid proposed $54.6 million in owner's costs, which is predominantly internal labour, for the management and delivery of the HCC Project.[124] Owner's costs also include the review of design related works, the implementation of property acquisitions and completion of environmental approvals.

Ausgrid's revenue proposal provided a comparison between its proposed labour rates and the labour rates included in its 2024–29 revenue determination. We found that Ausgrid's proposed labour rates were consistent with those previously approved labour rates.

On this basis, we are satisfied the proposed owner's costs are prudent, efficient and reasonable.

9.2.7 Design, social licence and other activities

Ausgrid proposed $51.8 million in design, social licence and other activities, which include externally sourced design works, community and social licence activities, environmental planning, legal, regulatory and insurance.[125]

This category includes $24.1 million capex for community and social licence activities, comprising:

- $17.7 million in internal labour for the Community and Stakeholder Engagement Team and Land and Property Team;
- $1.1 million in contracted services to support communications and engagement activities; and
- $5.3 million for the social licence proposal, including a $5.0 million community benefits fund and $0.3 million for administration, including the costs of the HCC Local Engagement Committee.

As noted in section 4, social licence was a focal issue in stakeholder submissions, both on Ausgrid's proposal and in response to our preliminary position paper. Ausgrid's Customer Panel supported a bottom-up review of the proposed capex for community and social licence activities. In its earlier submission on Ausgrid's revenue proposal, it also expressed concerns that:[126]

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124 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 53.

125 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 55.

126 Ausgrid Customer Panel, *Submission – Hunter Central Coast RNIP – 2026–31 Revenue Proposal*, May 2025, pp. 32–35.

- Ausgrid's proposal was reliant on a benchmarking study that was not relevant to the HCC Project, and
- there is insufficient detail about the need for the proposed community engagement staff (included in Ausgrid's internal labour forecast) for a largely brownfields project.

We recognise that the HCC Project will involve smaller structures and will utilise existing transmission line corridors. Therefore, achieving social licence and community acceptance is likely to be less complex than for other large transmission projects.

We sought further information from Ausgrid to support its proposed capex for community and social licence, including why Ausgrid considered its proposal to be reasonable. In response to our information request, Ausgrid:

- Noted that it had identified key social licence risks from early engagement, including community fatigue, low trust in existing forums, and potential impacts on land access, community acceptance, and project delivery.
- Noted that the HCC Local Engagement Committee initiative, included in Ausgrid's February 2024 proposal and draft Project Deed, provides a structured mechanism for ongoing engagement to mitigate community and delivery risks.
- Provided details on its engagement and land teams, which will manage around 120 landholders and lead transparent, culturally sensitive engagement with communities and First Nations groups, consistent with international participation frameworks.
- Submitted that the $5.3 million capex for social licence proposal represents approximately 1% of project costs and noted that similar projects have dedicated between 1-5% of project costs to social licence programs. However, it did not substantiate this claim by providing evidence of the similar projects.

Overall, we are satisfied that Ausgrid has proposed the right engagement activities and that in the absence of Ausgrid incurring the proposed expenditure, its ability to proceed with the delivery of the HCC Project would be significantly impacted. It is on this basis that we consider the costs of the proposed community and social licence activities are prudent, efficient and reasonable. While stakeholder concerns about the level of capex are valid, in particular the proposed internal labour costs are significant, we accept that larger projects would benefit from economies of scale. We also do not consider it straightforward to benchmark costs associated with achieving social licence, as network businesses will have varying baseline levels of social licence in their respective communities, and as a result, the level of engagement required to build social licence will differ between businesses.[127]

Further Ausgrid proposed $9.7 million for proposed design works.[128] Ausgrid has outsourced the greenfield substation designs to AECOM and retains the design works for brownfield substation packages internally. Ausgrid's proposed costs are based on internal labour rates and market tested prices.

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127 AER, *Directions paper – Social licence for electricity transmission projects*, October 2023, pp. 19.

128 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, pp. 58.

Other proposed costs totalling $18.0 million include Insurance, Legal, Environmental planning and Regulatory:

- Insurance costs cover the estimated amount required to put in place appropriate insurance for the delivery phase of the project. Ausgrid's proposed costs are supported by advice from an expert insurance broker.[129]
- Legal costs encompass the external legal support required to develop and execute the Commitment deed and Project Deed with EnergyCo, and to enter into appropriate agreements with downstream subcontractors. Legal costs also include ongoing contract management costs for the delivery phase of the Project.[130] Ausgrid's proposed costs are based on market tested prices.
- Environmental planning costs are predominantly external specialist consultants to perform environmental assessments (e.g. cultural heritage, noise and ecology assessments) and support the delivery of the Environmental Impact Statement and Summary Environmental Report.[131] Ausgrid's proposed costs are based on market tested prices.
- Regulatory costs are predominately labour costs for the regulation staff to manage and prepare the Revenue Proposal and manage the regulatory panel and consultants.[132] Ausgrid's proposed costs are based on internal labour rates and market tested prices.

Overall, we are satisfied Ausgrid's proposed costs for design, social licence and other activities are prudent, efficient and reasonable.

9.2.8 Risk costs

Ausgrid proposed $46.9 million in risk costs.[133] These costs relate to uncontrollable events which are not included in tendered works or owner's costs.

Ausgrid carried out risk identification workshops to identify the major risks that have the potential to impact the Project and established risk ratings for inherent and current risks. The key risks to the delivery of the HCC Project are program, market, community and design risks. Ausgrid undertook Monte Carlo analysis to inform the prudent selection of the project cost contingency allowance.[134] Ausgrid's proposed risk costs align to a value which is at or less than the P50 value from the outputs of risk modelling and Monte Carlo analysis.[135] We consider that Ausgrid's risk identification and evaluation process was appropriate, and that these forecast costs are not already included in Ausgrid's base capex forecast.

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129 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 58.

130 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 58.

131 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 59.

132 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 59.

133 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 60.

134 Monte Carlo analysis is a computational technique that uses repeated random sampling to predict possible outcomes of uncertain events, providing a range of potential results and their probabilities.

135 A P50 estimate represents a value where there is an equal probability that costs will be greater or less than the estimate.

On this basis, we are satisfied that Ausgrid's proposed risk costs are prudent, efficient and reasonable.

9.2.9 CAM allocated capex

Ausgrid omitted shared costs (those not directly attributed to specific projects) for capex (CAM allocated capex) from the calculation of its forecast capex for the HCC Project. This omission resulted in the capex being approximately $13.4 million lower than it should have been.

We requested further information from Ausgrid to demonstrate the reasonableness of this increase. Ausgrid submitted that this omission was due to an unintentional error, which resulted in shared costs related to non-system assets such as fleet, information and communication technology (ICT), and property overheads not being included in the forecast capex. Ausgrid subsequently submitted an updated revenue proposal along with a revised capex model. The updated proposal fully incorporates all allocations required under the AER approved Cost Allocation Methodology (CAM), including the previously omitted shared capex costs associated with non-system assets.

Based on our review of the additional information, we are satisfied that the omission of this information was an error, and we accept Ausgrid's updated estimate of $13.4 million for CAM allocated capex. We consider these costs are prudent, efficient, and reasonable.

9.2.10 Infrastructure Planner Fees

In accordance with clause 46(1)(b)(ii) of the EII Regulation, we are required to take into account the principle that Ausgrid is entitled to recover payments it is required to pay EnergyCo, where the requirement is contained in the contractual arrangements entered under the Consumer Trustee's authorisation. To the extent that the IPFs set out in the contractual arrangements conform with clause 46(b)(ii) of the EII Regulation, the AER is not required to assess the efficiency, prudency and reasonableness of these costs.

Our assessment of Ausgrid's proposal and the further supporting information provided by EnergyCo is that Ausgrid is required to pay the IPF to EnergyCo under clause 18.1(b) of the Project Deed. The Project Deed is a contractual arrangement that Ausgrid is required to enter into under section 7 of the Consumer Trustee's Notice of Authorisation.[136]

As such, we consider that as the principle in clause 46(1)(b)(ii) of the EII Regulation has been met and that the IPFs are contractual costs payable by Ausgrid to EnergyCo, that Ausgrid is entitled to recover under clause 46(1)(b)(ii) of the EII Regulation. The AER is consequently not required to review the prudency, efficiency or reasonableness of the IPFs and must include the fees in its revenue determination.

While we do not have a role in assessing the prudency, efficiency and reasonableness of IPFs, given the materiality of the IPFs, we requested further information from EnergyCo through a letter to EnergyCo on 6 June 2025 regarding these costs so that we and other stakeholders can be assured that these costs are in the best interests of consumers. In particular, we requested EnergyCo to provide us with information on the nature of the

[136] AEMO Services, *Notice of Authorisation – Hunter Central Coast Renewable Energy Zone Network Infrastructure Project*, April 2025.

underlying costs incurred and reassurance of the governance arrangements for the approval and oversight of these contractual costs.[137] Table 9.3 describes the nature of the IPFs for the HCC Project.

Cost breakdown of Infrastructure Planner Fees

EnergyCo, as the Infrastructure Planner for the project, has a range of obligations it must meet in developing and overseeing the HCC project. In meeting these obligations, EnergyCo may incur expenses to fund certain pre-development and scoping activities. Similarly, it is expected that the Network Operator may also incur costs prior to the start of the initial regulatory control period, covering project development activities to enable the project to progress according to schedule.

As both categories of expenditure (the EnergyCo and Network Operator costs) occur during a period where the Network Operator does not have any regulated revenues, EnergyCo will typically fund these costs, on the expectation that the costs would be recovered through payments required to be made to EnergyCo by the Network Operator under a contractual arrangement. These costs are typically known as IPFs.

Clause 18 of the draft Project Deed sets out the specific provisions and contractual arrangements requiring Ausgrid to pay EnergyCo IPFs, totalling $162.7 million ($ 2025–26). EnergyCo further provided a breakdown of these costs in Table 9.3.

Table 9.3 Infrastructure Planner Fees payable by Ausgrid ($million, 2025–26)

Category	Description	Cost
Development Fees	Costs incurred by EnergyCo during the pre-Commitment Deed, Commitment Deed and delivery phases of the project for tendering, development and delivery oversight activities undertaken or planned to be undertaken by EnergyCo. In particular, this category includes costs associated with: • Administrative functions such as progressing feasibility assessments, running tender processes and obtaining an authorisation • Providing ongoing oversight over Ausgrid during the construction and commissioning period to ensure it is delivering its contractual commitments under the Project Deed • Social licence activities within the HCC REZ.	81.7
Operation Fees	The cost of functions to be performed by EnergyCo post-construction and commissioning of the project through to the end of the 25-year Project Deed term. The primary activity associated with this category is monitoring and oversight over Ausgrid so that it is held to the commitments it has contracted to.	11.2

[137] This information is not required to be provided by a network operator to the AER to perform its functions in making a non-contestable revenue determination under clause 48(1) of the EII Regulation and is not within the scope of the information notice under section 38(7) of the EII Act. We therefore relied on EnergyCo providing this information to us on a voluntary basis.

Category	Description	Cost
Recovered Fees	An amount paid to EnergyCo equal to any payments made by EnergyCo to Ausgrid prior to execution of the Project Deed for agreed early works activities undertaken by Ausgrid. Examples of such activities include: • Developing the design requirements and technical standards for the HCC Project to ensure it can be connected to existing networks • Negotiating the enabling activities with Transgrid • Undertaking stakeholder engagement • Obtaining necessary rights over land.	69.8
Total		**162.7**

Source: EnergyCo, *EnergyCo responses to AER Request for information on Infrastructure Planner Fees*, July 2025.

The draft Project Deed also includes certain adjustment mechanisms that allow adjustments to be made to the total IPFs Ausgrid is required to pay EnergyCo. These are discussed in further detail in section 13.

Governance arrangements for Infrastructure Planner Fees

In its response to our letter, dated 14 July 2025, EnergyCo has detailed the governance arrangements in place for IPFs, including the measures it has put in place to reassure itself of the prudency, efficiency and reasonableness of these costs. EnergyCo has also clarified that IPFs fall under two broad categories for early development works—costs that were directly incurred by EnergyCo and costs incurred externally (primarily Ausgrid).

EnergyCo elaborated that IPFs are funded through the Transmission Acceleration Facility (TAF). The TAF is a NSW Government-funded revolving capital facility to fund development activities to accelerate the delivery of critical transmission infrastructure, community and employment benefits and other enabling projects to meet the EII Act and Roadmap objectives.

The TAF is governed by an independent investment committee, called the TAF Investment Committee. It makes recommendations on TAF funding proposals for decision by the EnergyCo Board and Chief Executive. It has established protocols to ensure accurate monitoring, verification, review and approval of any expenditure associated with the HCC Project's IPFs. Monthly reports are also provided to the EnergyCo Board and TAF Investment Committee on project risks and the status of the Project including spend against the approved TAF funding.

Based on this governance structure and protocols put in place by EnergyCo, we understand that the TAF Investment Committee:

- indicated that it was satisfied that the costs to be incurred for the HCC REZ project were reasonable, efficient and necessary for the acceleration of delivered renewable energy in NSW, and

- endorsed the financing of the forecasted costs for the Commitment Deed phase inclusive of IPF and Ausgrid costs.

Separately, EnergyCo notes that IPFs incurred directly by Ausgrid (and funded in the pre-period years by EnergyCo) have been subject to a competitive procurement process and therefore reflect market-tested costings. EnergyCo also monitors Ausgrid's early development expenditure through reporting obligations and invoice substantiation to ensure that these costs are consistent with the Project Deed.

10 Operating Expenditure

Operating expenditure (opex) refers to operating, maintenance and other non-capital expenses. Forecast opex for regulated network services is one of the building blocks we use to determine a network operator's total revenue cap.[138]

Under the regulatory framework, Ausgrid's revenue proposal must include the total forecast opex that it considers is required to meet or manage the expected demand for regulated network services, comply with all applicable regulatory requirements and maintain the safety of the network infrastructure project through the supply of regulated network services (the opex objectives).[139] We must determine whether or not we are satisfied that Ausgrid's forecast opex (including pre period opex) reasonably reflects the opex criteria.[140] In doing so, we must have regard to the opex factors specified in EII Chapter 6A.[141] If we are not satisfied, we must set out the reasons for this decision and an estimate of the total opex that we are satisfied reasonably reflects the opex criteria, taking into account the opex factors.[142]

Our assessment approach for opex is detailed in section 8 of our assessment approach guidance note.[143]

10.1 Ausgrid's proposal

Ausgrid proposed $16.9 million ($2025–26) in forecast opex, inclusive of debt raising costs, over the 2026–31 period. Ausgrid has not sought to recover any pre-period opex costs in its revenue proposal.

Table 10.1 sets out the total forecast opex by capex category and year.

Table 10.1 Ausgrid's proposed opex by category ($million, 2025–26)

Category	2026–27	2027–28	2028–29	2029–30	2030–31	Total
Maintenance	0.0	0.0	0.7	0.7	0.7	**2.2**
Operations and control room	0.1	0.4	0.6	0.9	1.0	**2.8**
Regulatory expenditure	0.1	0.3	0.3	0.1	0.1	**0.8**
CAM allocated opex	0.1	1.5	2.1	3.1	3.1	**9.8**
Debt raising costs	0.1	0.3	0.3	0.3	0.3	**1.3**
Total opex	**0.3**	**2.4**	**4.0**	**5.0**	**5.2**	**16.9**

138 EII Chapter 6A, cl. 6A.5.4(a)(6).

139 EII Chapter 6A, cl. 6A.6.6(a).

140 EII Chapter 6A, cl. 6A.6.6(c). The opex criteria include (1) the efficient costs of achieving the opex objectives; (2) the costs that a prudent operator would require to achieve the opex objectives; and (3) a realistic expectation of the cost inputs required to achieve the opex objectives.

141 EII Chapter 6A, cl. 6A.6.6(e).

142 EII Chapter 6A, cl. 6A.14.1(3).

143 AER, *Guidance note on the AER's EII Assessment Approach for Non-contestable revenue determinations,* September 2025

Source: Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025.
Note: Numbers may not sum due to rounding.

Ausgrid's cost allocation methodology (CAM) allocated opex is the largest category of its forecast opex, representing 63% of total forecast opex. Ausgrid stated that its proposed allocation aligns with its updated CAM approved by the AER in March 2025, with the expected opex that will be allocated to the HCC Project.[144]

10.2 AER final decision

Our final decision on Ausgrid's determination is to accept Ausgrid's forecast opex of $16.9 million, inclusive of debt raising costs as we consider this forecast reasonably reflects prudent, efficient, and reasonable costs to meet the opex objectives.

As this is Ausgrid's initial revenue determination for the HCC Project, we do not have a base year from a preceding regulatory control period on which to assess revealed opex. As such, we did not rely on our usual base-step-trend forecasting approach to develop an alternative estimate for opex. Instead, we relied on a bottom-up cost assessment approach to evaluate whether each of the forecast opex cost categories are prudent, efficient and reasonable. This approach is similar to the approach we take when evaluating opex step changes.

10.2.1 Maintenance costs

Ausgrid proposed $2.2 million for maintenance costs, including $0.9 million for vegetation management and $1.3 million for other maintenance expenditure.[145] This represents 14.2% of total forecast opex. The scope of the other maintenance work comprises inspections, condition monitoring and preventative maintenance tasks aimed at preserving asset functionality and condition integrity, as well as corrective and breakdown maintenance. We consider this type of expenditure to form part of base operating expenditure for all EII projects where the network operator is required to operate and maintain network assets.

Following a request for further information, Ausgrid provided a cost build-up of the maintenance costs from its unit cost and forecast quantity inputs along with the quotes Ausgrid obtained from its subcontractors for some of these costs.[146] We consider that Ausgrid's inputs and the underlying assumptions it used to generate its forecast costs appear to be reasonable and supported by its best available information.

Additionally, we compared the opex maintenance cost subcategories for the HCC Project against the equivalent cost subcategories from the Waratah Super Battery project and found that the composition of maintenance opex proportionally very similar.

We then compared the ratio of the HCC Project's maintenance opex relative to the forecast capex in its closing RAB against the same ratio from the WSB Project. We found that on average, the HCC Project had estimated roughly half the maintenance opex for each dollar of capex in its closing RAB compared to the WSB Project. We note that the WSB Project is

144 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 29.
145 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, pp. 27–28.
146 Ausgrid, *Response to information request IR#002*, June 2025.

smaller in scale than the HCC Project, so we would expect the HCC Project to benefit from economies of scale. However, we consider Ausgrid's forecast maintenance opex relative to its forecast closing RAB capex to be appropriately lower compared with the WSB Project.

On this basis, we are satisfied that Ausgrid's proposed maintenance costs are prudent, efficient and reasonable.

10.2.2 Operating and incremental regulatory costs

Ausgrid proposed $2.8 million for operations and control room costs.[147] This expenditure relates to the incremental activities required for operating and providing grid planning support to the HCC Project. Ausgrid also proposed $0.8 million for incremental regulatory costs, separate to regulatory overhead costs reallocated via the CAM allocation. The incremental regulatory costs are intended to cover expenditure relating to data audits, dealing with adjustment events, communication with the AER and consultancy services in preparation for the next revenue proposal.

We consider these types of expenditure to form part of base operating expenditure for all EII projects where the network operator is required to operate and maintain a regulated network. We reviewed and compared these costs against the WSB Project and found that Ausgrid's cost estimates were lower, despite the HCC Project being the larger project.

On this basis, we are satisfied that Ausgrid's proposed operating and incremental regulatory costs are prudent, efficient and reasonable.

10.2.3 CAM allocated opex

Ausgrid proposed $9.8 million for the reallocation of its shared costs according to its updated CAM.[148] The purpose of Ausgrid's CAM is to outline its approach to attributing shared costs to the distribution services it provides under the NER, regulated activities under the EII Act, and unregulated services.

Ausgrid's CAM allocated opex is based on forecast CAM allocations across its lines of business, including the HCC Project using the Weighted Average Revenue (WAR) cost method.[149] Wherever possible, Ausgrid is expected to attribute costs directly to the relevant service category. However, once all directly attributable costs have been allocated to the relevant service categories, the remaining unallocated costs (or shared costs) are allocated based on the weighted average revenue cost allocator.

Ausgrid also stated that due to its proposed reallocation of costs under the NER framework to the HCC Project, it expects it would receive an EBSS rewards for opex under its 2024–29 NER determination.[150] It noted that this reward would not reflect a genuine efficiency saving and thus should be excluded from its opex allowance we use to calculate its EBSS carryovers in 2026–27, 2027–28 and 2028–29 of its NER regulatory control period.

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147 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, pp. 28–29.

148 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, pp. 28–29.

149 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 29.

150 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, pp. 31–32.

We consider these types of expenditure to form part of base operating expenditure for all EII projects where the network operator is required to operate and maintain a regulated network. We also expect network operators to apply the approved CAM universally across all areas of its business. We do not allow separate CAMs for EII and NER frameworks.

Following a request for further information, Ausgrid provided a cost breakdown of its forecast overheads costs for the HCC Project. This showed how its shared costs had been allocated to its forecast opex for the HCC Project based on the forecast revenue at a point in time, relative to the other sources of revenue.[151] We consider that Ausgrid's proposed allocation aligns with its updated CAM, which we approved in March 2025.

We also agree that the reallocation of shared costs from NER to EII frameworks would result in Ausgrid receiving a EBSS reward, all else equal, and agree with Ausgrid's proposed solution. We consider that, for the purposes of calculating the EBSS carryovers, Ausgrid should treat these reallocated overheads as an EBSS exclusion for the 2026–27, 2027–28 and 2028–29 financial years of its current NER regulatory control period.

On this basis, we are satisfied that Ausgrid's proposed CAM allocated costs are prudent, efficient and reasonable.

[151] Ausgrid, *Response to information request IR#002*, June 2025.

11 Corporate Income Tax

Our revenue determination includes the estimated cost of corporate income tax for Ausgrid's 2026–31 period.[152] Under the post-tax framework, the cost of corporate income tax is calculated as part of the building block assessment using our EII PTRM. This amount allows Ausgrid to recover the costs associated with the estimated corporate income tax payable during the 2026–31 period. Our assessment approach for corporate income tax is detailed in section 9 of our assessment approach guidance note.[153]

11.1 Ausgrid's proposal

Ausgrid proposed an estimated cost of corporate income tax of $1.0 million ($ nominal) for the 2026–31 period using the EII PTRM, and with the following inputs[154]:

- an opening tax asset base (TAB) value as at 1 July 2026 of $281.1 million
- an expected statutory income tax rate of 30% per year
- a value of imputation credits (gamma) of 0.57
- asset classes and standard tax asset lives for depreciating its forecast capex for the 2026–31 period consistent with those approved by the AER for the 2024–29 Ausgrid determination under the NER.[155] As discussed in section 8, Ausgrid has updated its revenue proposal for an additional four asset classes and tax asset lives to address an error in its initial proposal. These additional asset classes also reflect the approved lives in its 2024–29 NER determination.
- remaining tax asset lives set equal to standard tax asset lives for pre-period capex commissioned prior to 1 July 2026
- one new asset class for 'Infrastructure Planner Fees' and associated tax asset lives for the 2026–31 period.

Table 11.1 sets out Ausgrid's proposed cost of corporate income tax for the 2026–31 period.

Table 11.1 Ausgrid's proposed cost of corporate income tax for the 2026–31 regulatory control period ($million, nominal)

	2026–27	2027–28	2028–29	2029–30	2030–31	Total
Tax payable	0.8	1.4	0.2	-	-	2.3
Less: value of imputation credits	0.4	0.8	0.1	-	-	1.3
Net cost of corporate income tax	**0.3**	**0.6**	**0.1**	**-**	**-**	**1.0**

152 EII Regulation, cl. 50A(b), EII Chapter 6A, cl. 6A.5.4(a)(4).

153 AER, *Guidance note on AER's EII assessment approach for non-contestable revenue determinations*, September 2025, pp. 33–37.

154 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Revenue proposal*, May 2025.

155 AER, *Ausgrid 2024–29 - Final Decision – Post-tax revenue model*, April 2024.

Source: Ausgrid, *Hunter Central Coast RNIP 2026–31 – Updated PTRM*, July 2025.

11.2 AER final decision

Our final decision on the estimated cost of corporate income tax is zero over the 2026–31 period, compared to Ausgrid's proposal of $1.0 million. Our final decision also forecasts a tax loss of $29.7 million ($ nominal) in the final year of the 2026–31 period. This is because the HCC project is a new standalone project under the EII Act, and therefore total tax expenses outweigh taxable revenues. The key components of our tax treatment are discussed in the following sections.

11.2.1 Opening TAB as at 1 July 2026

We determine an opening TAB value for Ausgrid of $261.3 million ($ nominal) as at 1 July 2026, a decrease of $19.9 million (–7.1%) from the value proposed by Ausgrid. This reduction reflects our decision on the depreciation treatment of pre-period capex associated with the Infrastructure Planner Fee asset class in 2025–26, prior to the 2026–31 period. Specifically, in allocating Ausgrid's portion of these costs to its respective asset classes, we have reduced the amount of capex that is commissioned in the pre-period years, and consequently the opening TAB. For further discussion on this amendment, see section 8.2 above.

11.2.2 Standard and remaining tax asset lives

We accept Ausgrid's proposed standard tax asset lives for its Communications (digital), 132kV concrete & street pole lines, Transmission substation equipment 132/66kV, Transmission & zone land and easements, Ancillary substation equipment, IT systems, Furniture, fittings, plant and equipment, Motor vehicles, Buildings (non-system) and Equity raising costs, because they are:

- consistent with the values prescribed by the Deputy Commissioner of Taxation in ATO Taxation Ruling 2025/20[156]
- the same as the approved standard tax asset lives in our 2024–29 determination for Ausgrid under the NER.[157]

In addition to these asset classes which align with Ausgrid's 2024–29 determination under the NER, Ausgrid also proposed a new asset class 'Infrastructure Planner Fee' for the 2026–31 period and has set the standard tax asset life of this asset class to be the same as the proposed standard asset life.

As discussed in section 8.2.1, we have accepted the new Infrastructure Planner Fee asset class and its associated standard asset life of 25 years, however, we have made amendments to ensure the depreciation schedule better reflects the underlying assets. We

156 ATO, Taxation Ruling LI 2025/20 – Income tax: effective life of depreciating assets (applicable from 15 September 2025).

157 AER, *Final Decision – Overview – Ausgrid – 2024–29 Distribution revenue proposal*, April 2024.

have similarly ensured Ausgrid's tax calculations reflect the amendments we have made in our regulatory depreciation decision.

We consider Ausgrid's approach to setting the tax asset life of the 'Infrastructure Planner Fees – EnergyCo' asset class as 25 years, consistent with its RAB asset life, to be reasonable. This is because the approach reflects the provisions set out in section 40-840 of the *Income Tax Assessment Act 1997* that allow certain capital costs directly connected with a project to be deducted over the project life. This description is consistent with the costs Ausgrid proposed in the Infrastructure Planner Fee asset class, such as conducting feasibility studies and environmental assessments to establish the HCC Project. Therefore, consistent with Ausgrid's proposal[158], our final decision PTRM adopts a tax standard life of 25 years for the relevant 'project life' as per the Project term.

We also accept Ausgrid's proposal to set the remaining tax asset lives equal to standard tax asset lives for asset classes with an opening TAB value for tax depreciation purposes. Consistent with our reasoning for RAB depreciation, we consider these assets will only begin depreciating for tax purposes from the start of the first regulatory control period for the HCC Project.

However, we have amended an error in the tax depreciation calculation for the opening TAB value in our final decision PTRM. Ausgrid's proposal, which uses our EII PTRM, defaults to depreciating the opening TAB for all asset classes on a straight-line approach, rather than the diminishing value approach prescribed as part of our regulatory tax approach review in 2018.[159] Pre-period capex that forms the opening TAB for the HCC Project are considered new assets, and therefore should be depreciated on a diminishing value basis consistent with the outcomes of our tax review.[160] By correcting this in our final decision PTRM, we determine a significantly higher tax expenses than tax revenues for all 5 years of the 2026–31 period.

Table 11.2 sets out our final decision on the standard and remaining tax asset lives for Ausgrid. We are satisfied that the standard tax asset lives are appropriate for application over the 2026–31 period. We are also satisfied that the standard tax asset lives provide an estimate of the tax depreciation amount that would be consistent with the tax expenses used to estimate the annual taxable income for a benchmark network operator delivering an efficient service.[161]

158 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 71.

159 AER, Tax Review 2018 – Final report, December 2018, pp. 76–78.

160 There are certain types of expenditure that are an exception to this and instead depreciate on a straight-line basis. For the HCC Project, these are the Buildings (non-system) and Equity raising costs asset classes.

161 EII Chapter 6A, cl. 6A.6.4.

Table 11.2 AER's final decision on Ausgrid's remaining and standard tax asset lives for the 2026–31 regulatory control period (years)

Asset class	Remaining tax asset lives	Standard tax asset life
Communications (digital) – tx	10.0	10.0
132kV concrete & street pole lines	47.6	47.6
Transmission substation equipment 132/66kV	40.0	40.0
Transmission & Zone land and easements[a]	n/a	n/a
Ancillary substation equipment	15.0	15.0
Infrastructure Planner Fee - EnergyCo	25.0	25.0
IT systems[b]	n/a	4.0
Furniture, fittings, plant and equipment[b]	n/a	10.6
Motor vehicles[b]	n/a	20.0
Buildings (non-system)[bc]	n/a	40.0
Equity raising costs[c]	n/a	5.0[d]

Source: AER analysis.

a) Not applicable. We have not assigned a standard or remaining tax asset life to the Transmission & Zone land & easements asset class because the assets are not subject to tax depreciation.

b) Not applicable. We have not assigned remaining tax asset lives to the IT systems, Furniture, fittings, plant and equipment, Motor vehicles, Buildings (non-systems), and Equity raising costs asset classes because they do not have an opening TAB value as at 1 July 2026.

c) The Buildings (non-system) and Equity raising costs asset classes use the straight-line method for tax depreciation. All other asset classes use the diminishing value method of tax depreciation.

d) Under section 40-880 of the ITTA 1997, certain business capital expenditures, such as equity raising costs in this instance, are deductible on a straight-line basis over five years.

11.2.3 Tax loss carryover

A business that has tax expenses which are greater than its taxable revenue in a period would not be subject to pay tax and generate a tax loss. A tax loss can be carried forward to offset against tax payable in the future.

Our final decision calculates tax losses for Ausgrid for all years of the 2026–31 period and therefore we have determined a cost of corporate income tax of zero. The tax loss at the end of the 2026–31 period is $29.7 million. This will be carried forward to Ausgrid's following regulatory control period and offset against future tax payable amounts.

12 Incentive Schemes

When making a revenue determination we are required to take in account the principle that incentives should be given to Network Operators to promote economic efficiency.[162]

Under the NER framework, we have developed the Capital Expenditure Sharing Scheme (CESS) and the Efficiency Benefit Sharing Scheme (EBSS) to provide financial incentives to Network Service Providers to become more efficient. In accordance with our Non-contestable Guideline, we will apply these incentive schemes in making a non-contestable revenue determination.[163] Amongst other things, there are several matters that our Non-contestable Guideline must not deal with, which include small-scale incentive schemes, the demand management innovation allowance mechanism, and removal of assets from the regulatory asset base.[164] Our current CESS is set out in version 4 of the Capital Expenditure Incentive Guidelines.[165] Our current EBSS and our assessment approach (for both the CESS and the EBSS) is detailed in Chapter 11 of our Guidance note on the AER's EII Assessment Approach for Non-contestable revenue determinations.[166]

We must decide how any CESS is to apply to the Network Operator.[167] EII Chapter 6A sets out the factors we must take into account when deciding whether to apply a CESS, including the capital expenditure sharing scheme principles.[168] We have the discretion to decide whether or not to apply the EBSS to the Network Operator.[169]

12.1 Ausgrid's proposal

12.1.1 Ausgrid's proposed CESS

Ausgrid proposed to apply the CESS for the regulatory control period as per our Capital Expenditure Incentive Guidelines, but with two modifications. Firstly, it proposed to include pre-period expenditure under the CESS, to remove the incentive for Ausgrid to change expenditure timings for a CESS reward.[170] This was because the regulatory and contractual timings of this project meant that a significant proportion of capex is forecast to be incurred before the start of the period. If the CESS was only applied to capex within the regulatory control period, a significant amount of capex would not be subject to the CESS. This would create a perverse incentive to overspend in the pre-period in order to underspend in the

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162 EII Act, s. 37(1)(b).

163 AER, *Guideline: Transmission Efficiency Test and revenue determination guideline for non-contestable network infrastructure projects*, July 2024, p. 13.

164 EII Regulation, cll. 47A(5)(f)–(g), (j).

165 AER, *Capital Expenditure Incentive Guidelines for Electricity Network Service Providers (Version 4)*, August 2025.

166 AER, *Guidance note on the AER's EII Assessment Approach for Non-contestable revenue determinations*, September 2025, pp. 46–52.

167 EII Chapter 6A, cll. 6A.4.2(a)(6A), 6A.14.1(5).

168 EII Chapter 6A, cl. 6A.6.5A.

169 EII Chapter 6A, cl. 6A.6.5(a).

170 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 77.

regulatory control period and receive a CESS reward. To make this modification, Ausgrid proposed adding its forecast pre-period capex to its forecast capex for 2026–27.

Secondly, Ausgrid proposed to exclude $5.3 million in social licence expenditure (a cost allowance for local communities) from the CESS, as it is determined by 'community needs', so any unspent amount should not be classified as an efficiency gain.[171]

Table 12.1 shows the capex values proposed to be subject to the CESS.

Table 12.1 Ausgrid's proposed capex subject to CESS ($million, 2025–26)

	2026–27	2027–28	2028–29	2029–30	2030–31	Total
Total capex	521.0	68.1	8.6	3.2	3.2	604.2
Less: social licence costs	5.3	–	–	–	–	5.3
Capex subject to CESS	**515.7**	**68.1**	**8.6**	**3.2**	**3.2**	**598.8**

Source: Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 77; updated to account for Ausgrid's updated capex forecast (discussed in section 9).

Note: Numbers may not sum due to rounding.

Additionally, Ausgrid requested another modification to the CESS in its submission to our preliminary position paper for the HCC Project.[172] It proposed to apply a modified sharing ratio to any additional capex allowance approved via the delayed capex forecast adjustment mechanism (discussed in section 13). Its proposed modified CESS sharing ratio had the following structure:

- Underspend 0–15%: 50:50 (equal share between Ausgrid and customers)
- Underspend >15%: 0:100 (all benefits to customers)
- Overspend (all levels): Standard 30:70.

As justification for its proposed modification, Ausgrid stated that:[173]

- this modified incentive structure recognises the additional risk imposed by applying a delayed capex forecast adjustment mechanism; and
- Ausgrid's proposal to participate in the HCC Project was predicated on an adjustment mechanism process that did not include this feature.

Ausgrid submitted that a rebalancing of incentives reflects the increased risk profile introduced by this untested mechanism, while continuing to ensure that customers benefit from genuine efficiency savings.

171 Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, pp. 77–78.

172 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 16.

173 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 16.

12.1.2 Ausgrid's proposed EBSS

Ausgrid proposed to apply the EBSS to HCC project for the 2026–31 period, in line with its NER 2024–29 determination. This included the exclusion of debt raising costs from the EBSS for the HCC project.

Table 12.2 shows the opex values proposed to be subject to the EBSS.

Table 12.2 Ausgrid's proposed opex subject to EBSS ($million, 2025–26)

	2026–27	2027–28	2028–29	2029–30	2030–31	Total
Total opex	0.2	2.2	3.7	4.7	4.9	15.6
Less: debt raising costs	0.1	0.3	0.3	0.3	0.3	1.3
Opex subject to EBSS	**–**	**1.9**	**3.4**	**4.5**	**4.6**	**14.3**

Source: Ausgrid, *2026–31 HCC RNI Project – Revenue proposal – May 2025 – Public*, May 2025, p. 76.

Note: Numbers may not sum due to rounding.

Ausgrid also proposed to exclude its proposed reallocation of overheads costs (from the NER to EII frameworks) from its opex allowance used to calculate its EBSS carryovers in 2026–27, 2027–28 and 2028–29 for its current NER determination. This was discussed earlier in section 10.2.3.

12.2 AER final decision

12.2.1 Application of the CESS over 2026–31 period

Our final decision is to apply the standard CESS as set out in version 4 of the Capital Expenditure Incentive Guidelines with Ausgrid's proposed modification to include pre-period expenditure.[174] As we noted in our preliminary position paper, this approach removes Ausgrid's incentive to inefficiently incur expenditure pre-period, and this approach was supported by CCP35.[175] However, instead of adding the 2025–26 capex forecast to the 2026–27 capex forecast, we will treat the 2025–26 capex forecast separately (as if it is capex is in the final year of a preceding regulatory control period) and assume that it is equal to Ausgrid's forecast. Then, at the next revenue determination we will make a 'final year adjustment' if Ausgrid's actual capex in 2025–26 differs from the allowance provided in this revenue determination. This reflects our established approach to applying the CESS and is consistent with our Capital Expenditure Incentive Guidelines.

We do not accept Ausgrid's proposal to exclude social licence expenditure from the CESS. While social licence expenditure is critical in the development of projects, we consider that Network Operators should still be incentivised to make those expenditures as efficiently as possible, consistent with other forms of expenditure. However, Ausgrid has discretion to elect not to recover CESS rewards related to any underspend of social licence expenditure,

174 AER, *Capital Expenditure Incentive Guidelines for Electricity Network Service Providers (Version 4)*, August 2025.

175 CCP35, *Submission – Hunter Central Coast RNIP – 2026–31 Revenue Proposal*, June 2025, pp. 25–26.

without the need for us to apply a CESS exclusion for this category of expenditure. EnergyCo supported our preliminary position on this issue.[176]

Finally, we do not accept Ausgrid's request for a modified CESS to apply to any additional capex allowance approved via the delayed capex forecast adjustment mechanism.

In considering whether to apply a modified CESS, our default position is to apply the CESS, and we will make exclusions or modifications in only limited circumstances where there is a strong case to do so.[177] In determining whether to vary the application of the CESS to the HCC Project, we have taken into account:[178]

- Benefits to consumers. For additional capex approved via the delayed capex forecast adjustment mechanism, consumers would only benefit more under Ausgrid's proposed modifications in the event of forecasting inaccuracies, and not due to genuine efficiency gains.
- The size of the project. Given that a large portion of the proposed capex is for pre-period capex, it is important that this is subject to the CESS to appropriately incentivise Ausgrid to incur efficient capex. Ausgrid did not submit that project size was a relevant consideration for its requested CESS sharing ratio modifications.
- The degree of capex forecasting risk. Although the delayed capex forecast adjustment mechanism is untested, we do not consider that it increases risks to Ausgrid to the extent that adjustments to the existing sharing ratios under the CESS are warranted.
- Stakeholder views. There was limited opportunity for stakeholders to consider Ausgrid's requested CESS modifications for capex subject to the delayed capex forecast adjustment mechanism. Ausgrid's Customer Panel welcomed the proposed CESS modifications for underspends but queried why Ausgrid did not propose modifications to the CESS for overspends.[179]

We are satisfied that our application of the CESS will provide Ausgrid with an appropriate incentive to undertake efficient capex for the HCC Project, and the approved adjustment mechanisms (discussed in section 13) will allow Ausgrid to manage any remaining uncertainty associated with the HCC Project.

Table 12.3 shows the capex values that will be subject to the CESS under our decision.

176 EnergyCo, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025. p. 2.

177 AER, *Guidance note on the AER's EII Assessment Approach for Non-contestable revenue determinations*, September 2025, p. 49.

178 AER, *Capital Expenditure Incentive Guidelines for Electricity Network Service Providers (Version 4)*, August 2025, p.9.

179 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 9.

Table 12.3 AER's final decision on capex subject to CESS ($million, 2025–26)

	2025–26	2026–27	2027–28	2028–29	2029–30	2030–31	Total
Capex subject to CESS	284.5	245.0	70.4	8.8	3.3	3.2	615.1

Source: AER analysis.

Note: Numbers may not sum due to rounding.

12.2.2 Application of the EBSS over 2026–31 period

Our decision on applying the EBSS will be made at the end of the 2026–31 period as there is no historical opex upon which to base forecasts. This approach is consistent with our 2024–29 final decision for the WSB Project,[180] and is supported by CCP35 in its submission on Ausgrid's 2026–31 HCC Project revenue proposal.[181] Generally, we support the application of the EBSS as it provides incentives for Ausgrid to incur opex efficiently, but only when it can be applied appropriately. Similarly, we will defer our decision on Ausgrid's proposed debt raising costs exclusion as it should be made at the same time as our decision on whether to apply the EBSS.

As mentioned in section 10.2.3, while we agree with the principle behind Ausgrid's proposed NER EBSS exclusion for reallocated opex overheads, a decision on this can only be made in the relevant NER determination.

180 AER, *Final decision: Transgrid 2024–29 – WSB project (Non-contestable)*, December 2023, p. 30.

181 CCP35, *Submission – Hunter Central Coast RNIP – 2026–31 Revenue Proposal*, June 2025, p. 25.

13 Adjustment mechanisms

Adjustment mechanisms are pre-defined circumstances that allow a Network Operator to request the adjustment of any amount set out in a revenue determination.[182] These mechanisms are intended to account for risks that are outside of a Network Operator's control, and which cannot be efficiently mitigated through other means.

Our approach to considering revenue adjustment mechanisms is described in our revenue determination guideline for non-contestable projects[183] and our Guidance note on the AER's EII Assessment Approach for non-contestable revenue determinations.[184]

In our preliminary position paper and supplementary appendix, we highlighted Ausgrid's proposed procurement-induced cost uncertainty events as a focus issue for our assessment and encouraged consumers to provide submissions. Our final decision is to include all 25 of Ausgrid's proposed adjustment mechanisms in our revenue determination but amend 3 of its 7 procurement-induced cost uncertainty events to align with our incentive-based regulatory framework.

Our role in reviewing and amending adjustment mechanisms under the NSW non-contestable EII framework

Our role as the Regulator in a non-contestable EII process is to determine the amount payable to the Network Operator for carrying out the network infrastructure project based on an assessment of its revenue proposal and supporting information.[185] A Network Operator may include in its revenue proposal mechanisms to adjust any amount provided for in our revenue determination. The EII Regulation provides the AER with discretion as to whether or not to include an adjustment mechanism in its determination or potentially include it in an amended form.

The adjustment mechanisms submitted by Ausgrid in its revenue proposal reflected its prior negotiations with EnergyCo which underpinned the signing of the Commitment Deed in December 2024. We note that, as a general principle, negotiations between a Network Operator (in this case, Ausgrid) and the Infrastructure Planner (EnergyCo) do not constrain the AER when making its determination under a non-contestable framework. We act as an independent assessor[186] of whether the proposed adjustment mechanisms will contribute to the recovery of prudent, efficient and reasonable costs.[187] We also have regard to the incentive properties of the proposed adjustment mechanisms, including whether they promote economically efficient behaviour by the Network Operator.[188]

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182 EII Act, s. 38(3), EII Regulation, cl. 51.

183 AER, Final guideline – Transmission Efficiency Test and revenue determination guideline for non-contestable network infrastructure projects, April 2023, p. 27.

184 AER, Guidance note on the AER's EII Assessment Approach for Non-contestable revenue determinations, September 2025, pp. 38–45.

185 EII Act, s. 38(1).

186 EII Act, s. 64(5); the Consumer Trustee also acts independently (EII Act, s. 60(5)) but not the Infrastructure Planner Act, (EII Act, s. 63(8)).

187 EII Act, s. 37(1)(a).

188 EII Act, s. 37(1)(b).

We acknowledge that where a competitive assessment process has been found by the AER to be genuine and appropriate and has produced contractual outcomes (including mechanisms for adjustment of revenues) these are to be considered prudent, efficient and reasonable and we must incorporate them in our determination.[189] However, this is not the case for non-contestable projects.

13.1 Ausgrid's proposal

Ausgrid proposed 25 adjustment mechanisms in its revenue proposal. These were:[190]

- 4 predetermined events, for events prescribed in EII chapter 6A of the revenue determination guideline for non-contestable projects,
- 3 automatic adjustment events, for routine financial input events (a one-off update to the cost of equity and annual updates for cost of debt and inflation),
- 4 standard events, which reflect commonly approved nominated cost pass through events seen in recent revenue determinations under the NER,
- 7 EnergyCo contractual compliance events, which principally relate to adjustments to IPFs in accordance with contractual obligations, and
- 7 procurement-induced cost uncertainty events, which reflect the unique procurement process for the HCC Project.

13.2 AER final decision

Our final decision is to include:

- 22 of the mechanisms as proposed (some with minor changes for clarity or consistency with our 2024–29 final decision for the WSB Project); and
- 3 of the proposed mechanisms with amendments to the type of costs which can be recovered or operation of the mechanism (through the application of a delayed capex forecast adjustment).

A summary of the adjustment mechanisms included in our final decision is set out in Table 13.1 below, accompanied by a brief operational description of each adjustment event. The precise wording of each mechanism is contained in Appendix B of this final decision, alongside our reasons for the inclusion of each mechanism.

Table 13.1 Adjustment mechanisms included in our final decision

#	Accepted mechanism	Brief description of the adjustment event
Adjustment mechanisms for events prescribed in EII Chapter 6A		
1.	Regulatory Requirements as defined in cl.46(3) of the EII Regulation	A change in costs arising from complying with regulatory requirements.

189 EII Regulation, 51(3)(b).

190 Ausgrid, *Hunter Central Coast RNIP 2026*–31 – Attachment 8.1: Adjustment mechanisms, May 2025, pp. 5–27.

#	Accepted mechanism	Brief description of the adjustment event
2.	A service standard event	A change in costs arising from accommodating service standard event.
3.	A tax change event	A change in costs arising from accommodating a tax change event.
4.	An insurance event	A change in costs arising from an insurance event.
Adjustment mechanisms for routine adjustment events		
5.	Risk-free rate update	Update to the return on equity to true-up the final averaging period for the risk-free rate.
6.	Annual update for actual inflation	Annual updates to revenue to account for actual (as opposed to forecast) inflation.
7.	Return on debt update	Update to the allowed rate of return, using more recent averaging periods.
Adjustment mechanisms for standard events		
8.	Insurance coverage event	A change in costs arising from a change in insurance coverage due to changes in the insurance market.
9.	Insurer's credit risk event	A change in costs due to an insurer of this project becoming insolvent.
10.	Natural disaster event	A change in costs due to a natural disaster.
11.	Terrorism event	A change in costs due to a terrorism event.
Adjustment mechanisms for EnergyCo contractual compliance events		
12.	Change in Law or mandatory NSW Government Policies event (proposed as subclause 2 of the 'Regulatory requirements event')	A change in law or mandatory NSW Government policies which changes the cost to Ausgrid of carrying out the HCC Project.
13.	DSP[191] Change Adjustment event	A change in costs due to Ausgrid having to comply with a Change Order.
14.	DSP Delay Adjustment event	A reduction in revenue in the event that Ausgrid is required to pay liquidated damages to the Infrastructure Planner.
15.	DSP IP Fee Adjustment event	A change in the amount of the Infrastructure Planner Fees Ausgrid is required to pay.
16.	Reduction in IP Fee due to reduced Technical Services Payments event	A reduction in Technical Service Payments as a result of a reduction in Infrastructure Planner Fees.
17.	Force Majeure Event under contractual arrangements with the Infrastructure Planner	A change in construction costs incurred due to a force majeure event impacting the construction under contractual arrangements with the Infrastructure Planner.

[191] Determined service payments (DSP).

#	Accepted mechanism	Brief description of the adjustment event
18.	Actions by the Infrastructure Planner event	A change in costs incurred by Ausgrid due to actions taken by the Infrastructure Planner which were prohibited under the contractual arrangement.
Adjustment mechanisms for procurement-induced cost uncertainty events we accepted without amendment		
19.	Contractor Force Majeure Event	A change in construction costs incurred due to a force majeure event impacting the construction contractor.
20.	Enabling Activities event	A change in the cost of activities required to be undertaken by a third-party to enable the connection of the HCC Project.
21.	Unforeseen Artefacts, Native Title Claims or Contamination event	A change in construction costs incurred by Ausgrid due to unforeseen artefacts, native title claims or contamination events.
22.	Delay in execution of contractual arrangements event	A change in costs incurred by Ausgrid due to a delay in the execution of the contractual arrangements.
Adjustment mechanisms for procurement-induced cost uncertainty events we accepted with amendments		
23.	Land Acquisition and Planning Costs event	A change in costs due to legal challenges to planning approvals, or environmental matters.
24.	Unavoidable Change in Contractor Costs event	A change in design and construction costs due to changes in certain contractual component prices, specified in the contractual arrangements.
25.	Unavoidable Design Change event	A change in procurement, construction and easement acquisition costs due to changes in the final design of the construction work.

Source: Ausgrid's proposal; AER analysis.

13.2.1 Our final decision amendments to adjustment mechanisms for procurement-induced cost uncertainty events

Our final decision is to accept 3 of Ausgrid's proposed procurement-induced cost uncertainty events with modifications to the costs covered by the mechanism or how the mechanisms work. These modified adjustment mechanisms are:

- 'Land Acquisition and Planning Costs' event
  - inclusion of costs to be recovered in clause (i) of this adjustment event within the capex forecast contained in our determination, and the subsequent removal of this clause from the adjustment event:

    "(i) actual land acquisition or planning costs for the HCC RNI Project are higher or lower than the forecast amount accepted by the Regulator in the Revenue Determination"
- 'Unavoidable Change in Contractor Costs' event
  - added a requirement that this event be subject to a delayed capex forecast.

- 'Unavoidable Design Change' event
    - added a requirement that this event be subject to a delayed capex forecast.

We consider that the Unavoidable Change in Contractor Costs and the Unavoidable Design Change events could not be reliably forecast at the time of our revenue determination. This is due to the high level of uncertainty surrounding the costs Ausgrid would incur in either event.[192] Our supplementary appendix to our preliminary position paper stated that recovery of the costs arising from these events through adjustment mechanisms was 'likely appropriate'.[193] This is because including these costs in the base capex forecast would increase the likelihood of consumers overpaying for capex.

13.2.2 Amendment of the 'Land Acquisition and Planning Costs' adjustment event

As proposed by Ausgrid, clause (i) of the Land Acquisition and Planning Costs event would adjust revenues to reflect actual prudent, efficient and reasonable land acquisition costs which were higher or lower than the estimate Ausgrid included in its capex forecast. We consider it is almost certain that this event would occur due to land acquisition and planning costs not exactly matching the independent valuer's estimated value. This type of true-up adjustment means Ausgrid has little incentive to exert effort to minimise these costs.

We consider that costs which are highly likely to occur and reasonably able to be forecasted should be included within the forecast expenditure for a revenue proposal. As such, we investigated whether clause (i) could be removed from the adjustment mechanism and replaced with a risk cost allowance.

Following a further information request Ausgrid has indicated that if trigger (i) was removed from the adjustment mechanism, it would propose increasing the relevant capex forecast by $7.1 million ($2025–26). This would then become the baseline expenditure and any over/under spends for CESS penalties/benefits would be calculated relative to the new forecast amount.

Given the relatively small magnitude of these estimated costs (approximately 1% increase in total capex) and its very high likelihood of occurrence, we consider these costs should be included within Ausgrid's capex forecast and not recovered via an adjustment mechanism. As such, we have amended Ausgrid's proposed Land Acquisition and Planning Costs event to remove the proposed clause (i) and increased its forecast capex by its $7.1 million estimate for these costs.

Ausgrid's proposed clauses (ii) and (iii) of the Land Acquisition and Planning Costs event are for condition-based risks (that is, if there is a legal challenge or an environmental notice issued in connection with the HCC project, then Ausgrid would seek to recover costs it incurs as a result). The occurrence of the trigger events is uncertain and the costs (which could be

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192 Events which can be better quantified have been included in Ausgrid's capex forecast as contingency allowances (with weighting to reflect the calculated probability/impact).

193 AER, *Preliminary position paper – Supplementary Appendix – Ausgrid – Hunter-Central Coast REZ non-contestable project 2026–31*, August 2025, p. 9.

considerable) are very hard to estimate. We consider it is reasonable to include an adjustment mechanism containing the proposed clauses (ii) and (iii) to account for these possibilities.

13.2.3 Delayed capex forecast adjustment

We consider that the 'Unavoidable Design Change' and 'Unavoidable Change in Contractor Costs' adjustment events essentially replace estimates with actuals, and in doing so would remove the incentive for Ausgrid to minimise or control these costs. As stated in the supplementary appendix to our preliminary position paper, we consider that Ausgrid has some control over these cost areas as Ausgrid is managing the design work, negotiating with landholders, and procuring materials.[194]

Additionally, we consider it almost certain that a low-level (small value) adjustment under either of the adjustments would occur. However, it is far more difficult to quantify how likely it is for a major claim to occur under either event, or the precise magnitude of the adjustment if such an event does occur.

In our final decision we have applied a delayed capex forecast approach to the 'Unavoidable Design Change' and 'Unavoidable Change in Contractor Costs' adjustment events. We consider a delayed capex forecast approach places the risk on the party best placed to manage that risk and best aligns with our incentive-based regulatory framework. We consider alignment with our incentive-based regulatory framework is particularly important for adjustments which could potentially constitute a significant proportion of the total capex.

13.2.4 The delayed capex forecast adjustment process

In this section we have outlined the process that Ausgrid must adhere to in relation to a delayed capex forecast adjustment.

During our revenue determination

During our revenue determination for the HCC project, we will explicitly identify the adjustment events that are subject to delayed capex forecast adjustment. These are adjustment mechanisms where forecasting of costs was constrained and remain highly uncertain at the time of our revenue determination. These events will be clearly identified in the AER's determination as 'delayed capex forecast adjustment events'.

In this final decision, Ausgrid's approved delayed capex forecast adjustment events are:

1. 'Unavoidable Change in Contractor Costs' event; and
2. 'Unavoidable Design Change' event.

Upon request from the AER, Ausgrid must provide an estimate for the earliest date it expects to be able to reasonably forecast its costs related to these delayed capex forecast adjustment events. This date will serve as the 'estimated trigger date' for the delayed capex forecast under the relevant delayed capex forecast adjustment event.

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194 AER, *Preliminary Position Paper – Hunter-Central Coast REZ network infrastructure project (non-contestable) – Supplementary Appendix: Adjustment mechanisms*, August 2025, p. 10.

For this decision, Ausgrid has proposed the appropriate trigger for both delayed capex forecast adjustment events is the "Response to final designs from Contractor/s" HCC project milestone (trigger milestone).

We have accepted Ausgrid's proposed trigger milestone and have applied it to both of Ausgrid's delayed capex forecast adjustment events.

Stage 1 – Operation of the adjustment mechanisms prior to the delayed capex forecast

Prior to the date of the delayed capex forecast, the two adjustment mechanisms operate as Ausgrid proposed in its revenue proposal. That is, if actuals differ from estimates in a relevant cost area, Ausgrid submits a revenue adjustment application to the AER.

Following the AER's review to assess if the costs are prudent, efficient and reasonable, we will adjust Ausgrid's revenue for any difference between its estimates and its actual prudent, efficient and reasonable incurred costs.

Stage 2 – Timing of the trigger milestone and the delayed capex forecast proposal

The trigger milestone occurs when Ausgrid provides a notice to the AER confirming that it has issued its final designs to contractors and has finalised engagement with those contractors regarding any impacts arising from final designs. At the date the trigger milestone occurs, Ausgrid has 3 calendar months to prepare and submit a delayed capex forecast proposal to the AER. Ausgrid has estimated the trigger milestone will occur by late 2026.[195]

If the trigger milestone does not occur by the estimated trigger date, Ausgrid must write to the AER within 20 business days. This written correspondence must state whether Ausgrid still intends to apply for a delayed capex forecast under this adjustment event, and must provide:

- an explanation of the causes of the delay to the trigger milestone, and if available, any evidence to support this explanation;
- any actions Ausgrid have taken to reduce or minimise the delay; and
- a new estimated trigger date (which would be subject to this same requirement if this estimated date is missed).

If the trigger milestone occurs after the estimated trigger date, the AER has the discretion to decide to reject an application for adjustment made by Ausgrid under this adjustment event, having regard to the following matters:

- the causes of the delay to the trigger milestone;
- any actions Ausgrid have taken or failed to take to reduce or minimise the delay;
- the new estimated date for the trigger milestone and the proportion of regulatory control period remaining for which these additional costs will be subject to incentive schemes; and

[195] The specific trigger milestone date is confidential.

- Ausgrid's entitlement to recover its prudent, efficient and reasonable costs.

Ausgrid is not permitted to apply to the AER for further adjustment under this adjustment event if Ausgrid:

- notifies the AER that it does not intend to apply for a delayed capex forecast under this adjustment event; or
- does not provide written correspondence to the AER within 20 business days after the estimated date of the trigger milestone, outlining its intention to apply for a delayed capex forecast adjustment under this adjustment event.

Stage 3 – Submission of the delayed capex forecast adjustment

Ausgrid's delayed capex forecast proposal must propose an increase or decrease in its allowable revenue in relation to the estimated change in its forecast capex for the 2026–31 period. This estimated increase or decrease in forecast capex must reflect only costs covered by the delayed capex forecast adjustment event over the remaining years of the regulatory control period.

We consider that Ausgrid's delayed capex forecast must be supported by:

- Updated risk-adjusted estimates that apply the most current information available from procurement outcomes, contractual milestones, design approvals, or planning processes. These estimates should reflect both expected costs and the probability-weighted risks associated with delivery. We expect these estimates to be at least AACE class 2 level and have independent verification confirming their accuracy.
- Comprehensive supporting information on the inputs used to develop the updated forecast, including relevant indices, contractual data, or expert reports relied upon to validate the new estimates.
- A description of any mitigating actions Ausgrid has taken to reduce its forecast costs.

Stage 4 – AER assessment of the delayed capex forecast adjustment

Once Ausgrid submits its delayed capex forecast proposal, the AER will undertake a compliance check and review the supporting material. Within 42 business days, the AER will advise whether it accepts or rejects the proposed adjustment to the capex allowance, requires further information, or requires Ausgrid to amend and resubmit its proposal. If Ausgrid is required to amend and resubmit its proposal, the 42-business day assessment timeframe will restart from the date Ausgrid's proposal is resubmitted.

If the AER considers the proposed adjustment to the capex allowance to be prudent, efficient and reasonable, we will adjust Ausgrid's capex forecast to reflect the approved adjustment. This updated capex amount is then used to adjust the revenue to be recovered by Ausgrid for the rest of the regulatory control period. Any under- or over-spend relative to the new capex benchmark will generate a reward or penalty respectively for Ausgrid and will be assessed as part of the CESS.

From the date the AER approves or rejects Ausgrid's delayed capex forecast proposal for an adjustment event, Ausgrid will not be able to apply for a further adjustment under that adjustment event.

13.2.5 Ausgrid's submission to our preliminary position paper

In its submission to our preliminary position paper, Ausgrid noted that our use of a delayed capex forecast adjustment mechanism approach supports regulatory certainty, customer affordability and preserves efficiency incentives.[196] Ausgrid's submission also suggested how a proposed delayed capex forecast process might work in practice.[197] We consider that Ausgrid's suggested delayed capex forecast adjustment approach balances its need to recover its prudent, efficient and reasonable costs, while reducing consumer exposure to unbounded risks. Ausgrid's submission reflects constructive discussions with AER staff and aligns with our expectations.

In our final decision, we have adopted much of Ausgrid's suggested process, subject to a few key differences. These differences are:

- Ausgrid will be required to write a public letter to the AER if the trigger milestone has not occurred by its estimated date explaining the reason for the delay; and
- if the trigger milestone occurs after the estimated date, it is at the AER's discretion to decide to reject an application for adjustment made by Ausgrid under that adjustment event, having regard to specific criteria (outlined in section 13.2.4); and
- We have not accepted Ausgrid's suggested CESS modification in relation to the delayed capex forecast. Ausgrid's proposed modification and our reasoning for our decision is set out in section 12 of this document.

In its submission to our preliminary position paper, Ausgrid proposed using a project milestone rather than a specific calendar date as the trigger for submitting its delayed capex forecast. It submitted that a milestone trigger is anchored in a tangible project outcome that directly shapes expenditure requirements.

We consider that Ausgrid's suggestion to use a trigger milestone rather than a specific date would allow for prudent and efficient costs to be estimated at the time when they are able to be reliably estimated. As mentioned in section 13.2.4, the trigger milestone occurs when Ausgrid provides a notice to the AER confirming that it has issued its final designs to contractors and has finalised engagement with those contractors regarding any impacts arising from final designs. This definition provides Ausgrid with control over the timing of when this trigger milestone occurs. We consider this is appropriate to allow Ausgrid sufficient time to negotiate its costs with its contractors.

We consider it is best for consumers for the delayed capex forecast to be forecast earlier in the regulatory control period, as this applies incentive pressure to Ausgrid sooner. However, the timing of a milestone trigger could move and thus allow the delayed capex forecast to be delayed, reducing the impact of these incentives.

On balance, we consider a milestone trigger is acceptable, but also that Ausgrid should be incentivised to keep to its estimated timeline. We consider the requirement for Ausgrid to

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196 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 1.

197 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, pp. 12–15.

write a public letter to the AER explaining the reason for the delay makes Ausgrid accountable for its trigger milestone. We consider this requirement will also provide consumers with appropriate transparency around any milestone slippage.

The AER's discretion to decide to reject an application for adjustment made after the estimated trigger date, provides Ausgrid with an incentive to apply for a delayed capex forecast adjustment sooner. This is because in exercising this discretion we have regard to the proportion of regulatory control period remaining for which these additional costs will be subject to incentive schemes.

13.2.6 Stakeholder submissions on adjustment mechanisms

We received 5 submissions to our preliminary position paper and supplementary appendix on our focus issue, adjustment mechanisms. Table 13.2 shows a summary of the stakeholder feedback we received on adjustment mechanisms and our response.

Table 13.2 Summary of stakeholder submissions on adjustment mechanisms

Adjustment mechanism aspect	Stakeholder submissions	Our response
Delayed capex forecast adjustment	All stakeholder submissions, including Ausgrid and EnergyCo, were broadly supportive of our delayed capex forecast approach being used for the 'Unavoidable Change in Contractor Costs' event; and 'Unavoidable Design Change' event. Ausgrid, Ausgrid's Consumer Panel (the Panel) and EnergyCo, all supported the use of a milestone trigger over a specific calendar date to ensure costs are reasonably able to be forecasted at the time the event is triggered.[198] The Panel's submission also suggested that all delayed capex forecast proposals should include the following conditions:[199] • *"Ausgrid to present evidence of engagement with consumers on how it has satisfied the trigger. In Ausgrid's case this could be met*	In our final decision, we have applied the delay capex forecast adjustment and milestone trigger. However, we have added a requirement that Ausgrid write a public letter to the AER if it misses its estimated trigger date. We expect as part of its delayed capex forecast proposal Ausgrid will provide a description of any actions it has taken to reduce its delayed capex forecast costs. However, we do not think it should be a condition for submitting a delayed capex forecast proposal. We expect any delayed capex forecast proposals to include independent verification that the forecast costs are at least AACE class 2 accuracy. We support Ausgrid consulting with consumers on how it has satisfied the trigger and on its delayed capex forecast proposal. Our discussion on consumer involvement in the delayed capex forecast application process is found in section 13.2.7 of this decision.

198 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, pp. 7–8; Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 9; EnergyCo, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025. p. 1.

199 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 9.

Adjustment mechanism aspect	Stakeholder submissions	Our response
	by engagement with its Customer Consultative Committee; • *mitigations Ausgrid has taken to reduce the forecast costs; and* • *independent verification that the forecast revenue is at least AACE class 2 accuracy following the AER's recent Marinus decision."* CCP35 also supported consumer involvement in the development of a delayed capex forecast.[200]	
Modifications to the CESS sharing ratio in relation to delayed capex forecast expenditure	Ausgrid's submission suggested a modified CESS sharing ratio to account for additional risk brought about by the delayed capex forecast adjustment rather than proposed adjustment mechanism approach.[201] In contrast, the Panel suggested that given the increased time to resolve uncertainties, we could require Ausgrid to provide estimates with a higher degree of accuracy than its standard capex forecast.[202] This greater forecast accuracy may justify applying a modified CESS sharing ratio for the delayed capex forecast expenditure to match the reduction in forecasting risk.	We have discussed our position on Ausgrid's proposed modified CESS sharing ratio in section 12 of this final decision. In relation to the Panel's suggestion, we are not looking to require Ausgrid to reduce its uncertainty down to a level that would result in a higher degree of accuracy than its standard capex forecast. This may take longer to be realised, and we seek for incentives to be applied to this expenditure as soon as a reasonable forecast is possible. Additionally, the application of different CESS sharing ratios to certain cost categories within capex would be challenging to implement and manage.
Maximum expenditure caps and materiality thresholds	The Panel and Justice and Equity Centre submissions encouraged us to consider the use of maximum expenditure caps and/or materiality thresholds alongside the delayed capex forecast, to reduce risks of adjustment mechanisms for consumers.[203] Ausgrid's submission did not support the application of caps or materiality	We discuss maximum expenditure caps and materiality thresholds in section 13.2.8 of this decision.

200 CCP35, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 9.

201 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 16.

202 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, pp. 9–10.

203 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, pp. 10–11; Justice and Equity Centre, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 4.

Adjustment mechanism aspect	Stakeholder submissions	Our response
	thresholds for any of its proposed adjustment mechanisms.[204]	
'Land Acquisition and Planning Costs' event	Ausgrid supported the amendment of the Land Acquisition and Planning Costs event to remove clause (i) and incorporate that cost within its capex forecast for this revenue determination.[205] The Panel also supported the inclusion of these costs within the capex forecast but was concerned that there were no caps on the remaining clauses of this mechanism.[206] It suggested Ausgrid should be required to confirm its efforts to mitigate these remaining costs.	Our final decision removed the proposed clause (i) from this adjustment mechanism and incorporated the costs within the capex forecast. We have decided not to apply caps on the remaining clauses because we consider the remaining clauses reflect conditions-based risks with a low probability of occurrence and a potentially high impact. As such, we consider the costs involved are only able to be reliably estimated after the event has occurred. We consider that for a cap to be effective it needs to be set at an appropriately level. Given the uncertainty around these costs, we do not think that such a cap can be estimated for these events prior to the events occurring. Within every application for revenue adjustment, we expect to receive justification from a Network Operator describing the actions they have taken to reduce the relevant costs. This forms part of our assessment of costs under the reasonableness criteria.[207]
'Enabling Activities' event	The Panel's submission also asked us to confirm if the 'Enabling activities' adjustment would expire upon AER judgment of this event and suggested that a cap be used to incentivise efficient expenditure.[208] It also requested that we apply a high degree of cost scrutiny to applications under this mechanism, given that there are no incentives applicable to this adjustment event.	The 'Enabling Activities' adjustment will not expire upon approval of an application under this mechanism. We expect Ausgrid will be invoiced at various stages throughout construction and so may require multiple revenue adjustments. However, our preference would be for a one-off adjustment to recover all costs associated with this event. We do not consider it is appropriate to apply a cap to this event as we do not believe that Ausgrid has the ability to respond to the incentives such a cap would impose. We consider there are a very limited number of parties who can provide the service to

204 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, pp. 5–10.

205 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 6; Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 10.

206 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 10.

207 AER, *Guidance note on the AER's EII Assessment Approach for Non-contestable revenue determinations*, September 2025, p. 21.

208 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 10.

Adjustment mechanism aspect	Stakeholder submissions	Our response
		Ausgrid, thus Ausgrid has limited-to-no negotiating power and is a price taker in this transaction. We acknowledge that there are no incentives applicable to this expenditure, and we will scrutinise the prudency, efficiency and reasonableness accordingly.
Other procurement-induced costs uncertainty events	Ausgrid accepted AER preliminary positions on the following 4 adjustment mechanisms without specific comments:[209] • Contractor Force Majeure; • Unforeseen artefacts, native title claims or contamination; • Enabling activities; and • Delay in execution of contractual arrangements. CCP35 noted in its submission that the Panel sought the AER's reassurance around Ausgrid's proposed adjustment events to ensure consumers were not bearing an unfair level of risk.[210] The Panel submission also encouraged us to explore other ways to mitigate risks or manage them outside of adjustment mechanisms.[211]	In our final decision we accepted these adjustment mechanisms without amendment. For 3 of these events (except the Enabling Activities event), we consider they reflect: • legitimate costs which are not reasonably able to be forecast in advance and can only be estimated reliably after the event has occurred. • conditions-based risks where the trigger event has a low or unquantifiable probability of occurring, but potentially a high impact if it does occur. As such, we consider that caps or other limits are not appropriate for these adjustment mechanisms as the risks are outside of Ausgrid's control and it will likely not be able to meaningfully respond to any imposed constraints. For the Enabling Activities event, there are a very limited number of parties who can provide the service to Ausgrid, thus Ausgrid has limited-to-no negotiating power and is a price taker in this transaction. We do not consider that Ausgrid can efficiently mitigate or manage the risks of these 4 events outside the adjustment mechanisms.
EnergyCo Contractual compliance events	Ausgrid accepted AER preliminary positions for all contractual compliance adjustment mechanisms.[212] The Panel submission suggested the DSP Delay Adjustment event was not related to IP Fees so AER will apply its prudency, efficiency and	In our final decision, we have accepted these adjustment mechanisms with only minor wording changes for readability or consistency with previous EII determinations. We consider we do not have the ability to assess the prudency, efficiency and reasonableness of the DSP Delay Adjustment event costs. Where this event occurs Ausgrid has an obligation to pay

209 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, pp. 5–10.

210 CCP35, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 9.

211 Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 11.

212 Ausgrid, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, pp. 5–10.

Adjustment mechanism aspect	Stakeholder submissions	Our response
	reasonable test before including any cost impact in the revenue determination.[213] It also asked us to confirm if we are able to assess the prudency, efficiency and reasonableness of costs under the 'Actions by the Infrastructure Planner' adjustment event.	liquidated damages to EnergyCo. However, rather than making payments to EnergyCo, the liquidated damages will be passed back to consumers via a reduction in the revenue Ausgrid may recover. The reduction in revenue will be equal to the liquidated damages obligation determined under the Project Deed. As such, both the amount of the change and the trigger for the event are direct consequences of an obligation Ausgrid has for liquidated damages to be paid to the Infrastructure Planner under a contractual arrangement. However, we consider we can assess revenue adjustments under the 'Actions by the Infrastructure Planner' event for prudency, efficiency and reasonableness.

13.2.7 Stakeholder involvement in the delayed capex forecast adjustment

Stakeholders play a vital role in shaping our revenue determinations. We consider that stakeholder engagement in terms of adjustment mechanisms is most valuable during our revenue determination process. This is because they are able to influence the scope and operation of the adjustment mechanism.

In our assessment of an application for a revenue adjustment, including a delayed capex forecast adjustment, we are primarily focused on considering the prudency, efficiency and reasonableness of the costs we have already determined to be within the scope of the mechanism. While we acknowledge stakeholder submissions indicating an interest in being consulted on adjustment decisions, we have very limited time in which to complete our assessment, and allowing time for additional stakeholder consultation would further restrict the assessment time available to us. Given the limited time, the fixed scope of the mechanism, and the technical nature of the costs involved, we consider that effective stakeholder consultation during the application assessment process is generally not feasible. However, we reserve the right to conduct targeted consultation in assessing an adjustment proposal if we consider it necessary.

13.2.8 Maximum expenditure caps and materiality thresholds

Maximum expenditure caps

A number of Ausgrid's proposed adjustment mechanisms were unbounded, in that there was no limit on the amount of the potential adjustments or when these increases might occur. A cap on the (aggregate) amount of the adjustment (or adjustments) is one potential way to

[213] Ausgrid Customer Panel, *Submission on Hunter Central Coast REZ Project Preliminary Positions Paper*, September 2025, p. 6.

address this concern. We applied an expenditure cap to an event in our final decision for the WSB project.[214]

In our preliminary position paper, we considered the application of a cap as an option for constraining these adjustment mechanisms.[215] We included discussion on the advantages and disadvantages of applying a cap to those adjustment mechanisms in the supplementary appendix to our preliminary position paper.[216] We observed that because it was difficult to quantify the likelihood and impact of the underlying events, it was difficult to determine an appropriate cap, either for an individual event or in aggregate.

If we apply an individual or aggregate cap on adjustment mechanisms that is too low, Ausgrid may not be allowed to recover prudent, efficient and reasonable costs it incurred as a result of carrying out a REZ infrastructure project (as the AER is required to take into account under s.37(1)(a) of the EII Act). Conversely, if we apply a cap that is too high, we risk not providing Ausgrid with sufficient incentive to incur only its efficient expenditure (as the AER is required to take into account under s.37(1)(b) of the EII Act). Such a cap would be of limited benefit to consumers. However, we consider that if a maximum expenditure cap is applied at the appropriate level, it can limit risk for consumers and provide incentive for the Network Operator to incur only prudent, efficient and reasonable costs.

Given the extent of uncertainty around the HCC Project design, any cap would need to be very high. In this context, applying a cap would provide a limit on transfer of risk to consumers; but may represent more of a theoretical limit and provide little practical incentive for Ausgrid to constrain costs. In our final decision, we have not applied an expenditure cap to any of Ausgrid's proposed adjustment mechanisms.

Materiality thresholds

We also considered the application of materiality thresholds to procurement induced cost uncertainty events as a way of incentivising Ausgrid to incur only efficient costs. We consider the EII Regulation allows us to specify that a particular adjustment must include a materiality threshold, or a maximum cost recovery cap.[217] In most nominated pass throughs events under the NER, a materiality threshold is applicable. This is due to the Network Operator's ability to reprioritise or substitute its projects, to avoid seeking cost recovery through the pass through mechanism.[218] In general, a Network Operator does not have this same ability to reprioritise or substitute projects under the EII framework.

We have not applied a materiality threshold to any adjustment mechanisms in our final decision. We consider that the application of a delayed capex forecast represents part of the

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214 AER, *Draft decision (non-contestable) – Transgrid – Waratah Super Battery 2024–29*, September 2023, p. 66.

215 AER, *Preliminary position paper – Ausgrid - Hunter-Central Coast REZ non-contestable project 2026–31*, August 2025, p. 16.

216 AER, *Preliminary position paper – Supplementary Appendix – Ausgrid – Hunter-Central Coast REZ non-contestable project 2026–31*, August 2025, pp. 11–12.

217 EII Regulation, cl. 51(2).

218 AEMC, *Final position paper – Economic Regulation of Network Service Providers, and Price and Revenue Regulation of Gas Services*, 29 November 2012, p. 186.

original capex forecast which could not be forecast reliably at the time of the revenue proposal and thus should not be subject to a materiality threshold.

13.2.9 Annual review of revenue adjustment events

In our final decision, we accept Ausgrid's proposed annual adjustment event review process[219] as it aligns with the annual adjustment process described in our Guideline.[220] This review process would allow us to ensure that cost increases and decreases are accurately passed through to customers. We will assess all relevant applications for revenue adjustments for prudency, efficiency and reasonableness in accordance with the EII Act and the EII Regulation.[221]

219 Ausgrid, *Hunter Central Coast RNIP 2026–31 – Attachment 8.1: Adjustment mechanisms*, September 2025, pp. 1–2.

220 AER, *Transmission Efficiency Test and revenue determination guideline for NSW non-contestable network infrastructure projects*, September 2025, pp. 30–31.

221 EII Act, s. 37(1) and EII Regulation, cl. 46(1)(b); Excluding costs covered by EII Regulation 46(1)(b)(ii).

14 Components of our final decision

Our final decision on Ausgrid's Hunter-Central Coast revenue determination for the 2026–31 regulatory control period comprises the components set out in Table 14.1 below.

Table 14.1 Components of our final decision under the EII Act, the EII Regulation, and the EII Chapter 6A

Provision reference	AER final decision
EII Act, s.38(1)	The AER's final decision is to determine a total revenue of $189.6 million ($ nominal) for the 2026–31 period.
EII Act, s.38(2)(a)	The AER's final decision is to approve $54.2 million ($2025–26) in repayment of capital costs as determined under the transmission efficiency test.
EII Act, s.38(2)(b)	The AER's final decision is to approve a return on capital costs amount of $179.7 million ($ nominal) for capital costs that have not been repaid.
EII Act, s.38(2)(c)	The AER's final decision is to approve a revenue allowance of $18.5 million ($ nominal) for operating costs.
EII Regulation, cl.50A(a)	The AER's final decision is to approve an allowance of $70.1 million ($ nominal) for the indexation of the regulatory asset base.
EII Regulation, cl.50A(b)	The AER's final decision is to approve an allowance for the estimated corporate income tax of zero.
EII Regulation, cl.50A(c)	The AER's final decision does not include an allowance for any revenue increments or decrements resulting from the operation of incentive schemes as there are no incentive schemes in operation at the time of this final decision.
EII Regulation, cl.50A(d)	The AER's final decision is to approve an allowance of $2.3 million ($2025–26) for the repayment of prudent, efficient and reasonable capital costs not included in the component specified in section 38(2)(a) of the EII Act.
EII Regulation, cl.50A(e)	The AER's final decision does not include any allowances for other risks not already compensated under section 38(2)(b) of the EII Act.
EII Regulation, cl. 52(1) and cl. 52(2)(a)&(c)	Our final decision includes a schedule of the amounts to be paid to the network operator and the date on which each amount is to be paid for the 5 years of the 2026–31 regulatory control period, as set out in section 5.2.2 and Appendix A to this final decision.
EII Chapter 6A, cl.6A.14.1(1)(i)	The AER's final decision is not to approve the total revenue cap set out in Ausgrid's building block proposal. Our final decision on Ausgrid's total revenue cap is $189.6 million ($ nominal) for the 2026–31 regulatory control period. This decision is discussed in section 5.2 of this final decision.

Provision reference	AER final decision
EII Chapter 6A, cl.6A.14.1(1)(ii)	The AER's final decision is not to approve the maximum allowed revenue (MAR) for each regulatory year of the regulatory control period set out in Ausgrid's building block proposal. Our final decision on Ausgrid's MAR for each year of the 2026–31 regulatory control period is set out in section 5.2.1 of this final decision.
EII Chapter 6A, cl.6A.14.1(1)(iii)	The AER has not made a decision on the values that are to be attributed to the performance incentive scheme parameters for any service target performance incentive scheme, as this scheme is not applicable for the 2026–31 regulatory control period.
EII Chapter 6A, cl.6A.14.1(1)(iv)	The AER has not made a decision on the values that are to be attributed to the efficiency sharing benefit scheme parameters for any efficiency benefit sharing scheme (EBSS), as the AER's final decision does not include application of the EBSS for the 2026–31 regulatory control period. The decision on whether to apply the EBSS will be delayed until the end of the 2026–31 regulatory control period as set out in section 12.2.2 of this final decision.
EII Chapter 6A, cl.6A.14.1(1)(v)	The AER's final decision is to approve the commencement and length of the regulatory control period as Ausgrid proposed in its revenue proposal. The regulatory control period will commence on 1 July 2026 and the length of this period is five years, expiring on 30 June 2031.
EII Chapter 6A, cl.6A.14.1(2)(ii)	Acting in accordance with clause 6A.6.7(d) of EII Chapter 6A, the AER's final decision is to not accept the total forecast capital expenditure of $322.6 million ($2025–26, inclusive of equity raising costs) set out in Ausgrid's proposal. Our final decision, therefore, includes a substitute estimate of Ausgrid's total forecast capital expenditure for the 2026–31 regulatory control period of $332.0 million ($2025–26, inclusive of equity raising costs). The reasons for our decision are set out in section 9.2 of this final decision.
EII Chapter 6A, cl.6A.14.1(3)(i)	The AER's final decision is to accept Ausgrid's proposed total forecast operating expenditure inclusive of debt raising costs of $16.9 million ($2025–26) for the 2026–31 regulatory control period. The reasons for our decision are set out in section 10.2 of this final decision.
EII Chapter 6A, cl.6A.14.1(5)	In accordance with 6A.6.3A of EII Chapter 6A, the AER's final decision has not applied a financeability test for the HCC Project as Ausgrid did not submit a financeability request.
EII Chapter 6A, cl.6A.14.1(5A)	The AER's final decision is that the capital expenditure sharing scheme (CESS) as set out in the version 4 of the Capital Expenditure Incentives Guidelines, with a modification to include pre-period expenditure, will apply to Ausgrid in the 2026–31 regulatory control period. This is set out in section 12.2.1 of this final decision.

Provision reference	AER final decision
EII Chapter 6A, cl.6A.14.1(5B)	Acting in accordance with clause 6A.6.2 of EII Chapter 6A, the AER's final decision is that the allowed rate of return for the 2026–31 regulatory year is 6.53% (nominal vanilla), as set out in section 7.2 of this final decision. The rate of return for the remaining regulatory years may be updated in accordance with the approved adjustment mechanisms for the actual risk-free rate and annual return on debt.
EII Chapter 6A, cl.6A.14.1(5C)	The AER's final decision is that the allowed imputation credits for each regulatory year of the 2026–31 regulatory control period, as also referred to in clause 6A.6.4, is 0.57. This is set out in section 7.2.5 of this final decision.
EII Chapter 6A, cl.6A.14.1(5D)	Acting in accordance with clause 6A.6.1 and schedule 6A.2 of EII Chapter 6A, the AER's final decision is that the opening regulatory asset base as at the commencement of Ausgrid's 2026–31 regulatory control period, being 1 July 2026, is $289.1 million ($ nominal). This is set out in section 6.2.1 of this final decision.
EII Chapter 6A, cl.6A.14.1(5E)	The AER's final decision is that the depreciation approach used to establish the regulatory asset base at the commencement of Ausgrid's 2031–36 regulatory control period as at 1 July 2031 is based on forecast capital expenditure (forecast depreciation). This is set out in section 6.2.3 of this final decision. For completeness, the regulatory depreciation amount that is approved in this final decision is –$8.6 million ($ nominal) for the 2026–31 regulatory control period.
EII Chapter 6A, cl.6A.14.1(6)	The AER's final decision is to not modify the depreciation schedules under clause 6A.6.3(d) and EII Regulation, clause 47D(3). For completeness, the AER's final decision has determined the depreciation schedules in accordance with 6A.6.3(b) of EII Chapter 6A, as set out in section 8.2 of this final decision.
EII Chapter 6A, cl.6A.14.1(9)	Acting in accordance with clause 6A.6.9 of EII Chapter 6A, the AER's final decision does not determine additional pass-through events that are to apply for the regulatory control period other than those set out in adjustment mechanisms section of this final decision. Our final decision on adjustment mechanisms is set out in section 13.2 and Appendix B of this final decision.

Glossary

Term	Definition
AER	Australian Energy Regulator
Ausgrid	Ausgrid Operator Partnership (trading as Ausgrid) (ABN 78 508 211 731), the network operator for the HCC Project.
Ausgrid's customer panel	HCC REZ Reg Panel
CAM	cost allocation methodology
capex	capital expenditure
CESS	capital expenditure sharing scheme
CCP35	consumer challenge panel, sub-panel 35
Consumer Trustee	A person or body authorised under section 60 of the EII Act to exercise the functions of the Consumer Trustee. The Consumer Trustee is required to act independently and in the long-term financial interests of NSW electricity consumers. AusEnergy Services Ltd (formerly known as AEMO Services Limited) has been appointed to undertake this role.
Contractual arrangement	Contracts that the Network Operator enters into as required under the Consumer Trustee's authorisation or Minister's authorisation or direction. This includes contracts made between the Infrastructure Planner and the Network Operator for carrying out a network infrastructure project under section 63(4)(a) of the EII Act.
CPI	Consumer price index
EBSS	efficiency benefit sharing scheme
EII Act	Electricity Infrastructure Investment Act 2020 (NSW)
EII Chapter 6A	Appendix A of the Guideline, a modified version of Chapter 6A of the NER that applies to EII projects
EII framework	The EII Act and any regulations made under it.
EII PTRM	refers to a PTRM that is used for the purposes of making non-contestable revenue determinations under the EII framework (EII Act and EII Regulation)
EII Regulation	Electricity Infrastructure Investment Regulation 2021 (NSW)
EnergyCo	Energy Corporation of NSW
Gamma	Value of imputation credits
HCC	Hunter-Central Coast

Term	Definition
HCC Project	Hunter-Central Coast renewable energy zone network infrastructure project
ICT	information and communication technology
Infrastructure Planner	A person authorised to exercise the functions of an infrastructure planner under section 63 of the EII Act. The Infrastructure Planner performs a range of planning and contracting functions. The Energy Corporation of NSW (EnergyCo) has been appointed to undertake this role for the five REZs specified in the EII Act.
IPF	Infrastructure Planner Fee
ITAA	Income Tax Assessment Act 1997
MAR	Maximum allowed revenue
maximum capital cost	an amount notified to the regulator representing the maximum amount for the prudent, efficient and reasonable capital costs for development and construction of the REZ network infrastructure project that may be determined by the regulator under section 38(4) of the EII Act.
NER	National Electricity Rules
Network Operator	As defined in the EII Act, means a person who owns, controls, or operates, or proposes to own, control or operate, network infrastructure. In respect of the HCC Project the network operator is Ausgrid.
Non-contestable Guideline	Transmission Efficiency Test and revenue determination guideline for non-contestable network infrastructure projects
opex	operating expenditure
PTRM	post-tax revenue model
RAB	regulatory asset base
RBA	Reserve Bank of Australia
REZ	renewable energy zone
RIN	Information notice issued to a network operator under s.38(7) of the EII Act.
RNIP	REZ network infrastructure project
RoRI	Rate of Return Instrument
RTA	Recommendation to Award
SFV	Scheme Financial Vehicle. A person or body authorised under section 62 of the EII Act to exercise the functions of the Scheme Financial Vehicle.

Term	Definition
STSS	subtransmission switching station
the Roadmap	NSW Electricity Infrastructure Roadmap
TAB	tax asset base
TET	transmission efficiency test
updated proposal	an updated revenue proposal submitted by Ausgrid on 4 July 2025 correcting for an error in its forecast capex.
WACC	weighted average cost of capital
WSB Project	Waratah Super Battery non-contestable project